



2017

Annual Report and Financial Statements



Sweetening the lives of kenyans





VISION, MISSION AND CORE VALUES



Core Values

- Integrity;
- Teamwork;
- Stakeholder Focus;
- Innovation and Creativity; and
- Business Focus.

Our Mission

To add value to all stakeholders through integrated processes in a dynamic, efficient and ethical manner to achieve growth and sustainability.

Our Vision

A leading producer of Sugar, Energy and related products.

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CORPORATE INFORMATION

Board of Directors

Dr K Ngumbau	- Chairman
Mr H Rotich	- CS The National Treasury
Mrs N Kaminchia	
Ms N Cidi Kumbathia	
Mrs J Tabuke	
Mr A Koech	(Alternate to CS The National Treasury)
Mrs P Adala	(Elected 9th December 2016)
Mr N Orgut	(Elected 9th December 2016)
Mr P Ingosi	(Elected 9th December 2016)
Mr J Mathenge	(Resigned 19th September 2017)
Mr J Opindi	(Resigned 19th September 2017)
Mr D Ameyo	(Retired on 9th December 2016)
Mr J K Barorot	(Retired on 9th December 2016)
Mrs E Kyengo	(Retired on 9th December 2016)

Chief Executive Officer Mr Nashon Aseka

Company Secretary Ag. Mr. Henry Omukamani Wanyundi
Certified Public Secretary/Advocate
Private Bag, Mumias.

Registered Office

Mumias Sugar Company Limited
Private Bag, Mumias.

Independent Auditor

RSM Eastern Africa
Certified Public Accountants
1st Floor, Pacis Centre,
Slip Road, off Waiyaki Way, Westlands
P.O. Box 349 - 00606
Nairobi, Kenya.

Principal Bankers

Kenya Commercial Bank Limited
Kencom House
P.O. Box 48400 - 00100
Nairobi, Kenya.

Ecobank Kenya Limited
Ecobank Towers, 15th Floor
Muindi Mbingu Street
P.O. Box 49584 - 00100
Nairobi, Kenya.

Equity Bank (Kenya) Limited
Equity Centre, 9th Floor
Hospital Road, Upper Hill
P.O. Box 75104 - 00200
Nairobi, Kenya.

Legal Advisers

Hamilton Harrison & Mathews Advocates
Office Suites, Waiyaki Way
P.O. Box 30333 - 00100
Nairobi, Kenya.

Wekesa & Simiyu Advocates
Lenana Towers, 8th Floor, Lenana Road
Box 10299 - 00100
Nairobi, Kenya.

Wetangula Adan Makokha & Company Advocates
Building, 1st Floor, Moi Avenue
P.O. Box 427 - 50200
Bungoma, Kenya.

Mohammed Muigai & Company Advocates
Chambers, 4th Floor, K-Rep Centre, Wood Avenue
Off Lenana Road, Kilimani
P.O. Box 61323 - 00200
Nairobi, Kenya.

BOARD COMMITTEES

1 Human Resources & Nomination Committee

Mrs. Naomi Cidi	Committee Chairperson
Dr. Kennedy Ngumbau	Chairs during Nominations
Mr. Abraham Koech	Committee Member
Mrs. Joanne Tabuke	Committee Member
Mr. Peter Ingosi	Committee Member

2 Agriculture & Technical and Operations Committee

Mrs. Nancy Kaminchia	Committee Chairperson
Mr. Peter Ingosi	Committee Member
Mr. Nelson Orgut	Committee Member
Mr. Abraham Koech	Committee Member

3 Board Risk Audit and Compliance Committee

Mrs. Joanne Tabuke	Committee Chairperson
Mrs. Patricia Adala	Committee Member
Mr. Abraham Koech	Committee Member
Mrs. Nancy Kaminchia	Committee Member

4 Board Procurement Tender and Assets Disposal Committee

Mr. Nelson Kiprono Orgut	Committee Chairman
Mrs. Naomi Cidi	Committee Member
Mr. Peter Ingosi	Committee Member
Mrs. Nancy Kaminchia	Committee Member

5 Board Finance and Strategy Committee

Mrs. Patricia Adala	Committee Chairperson
Mr. Abraham Koech	Committee Member
Mrs. Joanne Tabuke	Committee Member
Mr. Nelson Orgut	Committee Member
Mrs. Nancy Kaminchia	Committee Member

6 OTHERS (TRUSTEES)

1 Elimu Trust	
Mrs. Naomi Cidi	Trustee
2 Staff Retirement Benefits Scheme	
Mrs. Joanne Tabuke	Trustee
Mr. Peter Ingosi	Trustee
3 Staff Provident Fund	
Mrs. Joanne Tabuke	Trustee
Mrs. Nancy Kaminchia	Trustee

SHAREHOLDING INFORMATION

Summary Returns as at Friday June 30 2017

Investor Pool	Records	Shares	Percentage
Local Individual	130,951	990,007,483	64.71%
Local Institutions	3,382	498,303,210	32.57%
Foreign Investor	610	41,689,307	2.72%
Grand Totals:	134,943	1,530,000,000	100.00%

Shares Distribution Statistics as at Friday June 30 2017

Range	Records	Range Total	Percentage
1 1 to 500	23,526	5,555,720	0.36 %
2 501 to 1000	39,466	27,512,633	1.80 %
3 1001 to 5000	49,135	113,754,038	7.43 %
4 5001 to 10000	10,587	75,579,090	4.94 %
5 10001 to 50000	9,311	199,068,663	13.01 %
6 50001 to 100000	1,384	100,423,292	6.56 %
7 100001 to 500000	1,248	261,623,959	17.10 %
8 500001 to 1000000	186	131,181,248	8.57 %
9 1000001 to 2000000000	100	615,301,357	40.22 %
Grand Totals:	134,943	1,530,000,000	100.00%

Directors Shareholding

Names	Shares
JOANNE TABUKE	15,000
JAMES MATHENGE	6,200
NELSON ORGUT	6,000
NASHON ASEKA	2,925
Total	30,125

Top 10 Global Investors as at Friday June 30 2017

	Names	Address	Shares	Percentage
1	PERMANENT SECRETARY TREASURY	P.O. BOX 9287-00100 NAIROBI KENYA	306,000,000	20.00%
2	KENYA COMMERCIAL BANK LIMITED	P.O. BOX 48400-00100 NAIROBI KENYA	26,322,100	1.72%
3	THE JUBILEE INSURANCE COMPANY OF KENYA LIMITED	P.O. BOX 30376-00100 NAIROBI KENYA	17,937,102	1.17%
4	ABDUL KARIM CHATURBHAI POPAT	P.O. BOX 48296-00100 NAIROBI KENYA	14,400,000	0.94%
5	PETER NJENGA MUHIKA	P.O. BOX 59242-00200 NAIROBI KENYA	10,155,615	0.66%
6	BID PORTFOLIO MANAGEMENT LTD	P.O. BOX 40127-00100 NAIROBI KENYA	10,000,000	0.65%
7	YANA TRADING LIMITED	P.O. BOX 55358-00200 NAIROBI KENYA	8,589,011	0.56%
8	AMEERALI K ABDULRASUL SOMJI	P.O. BOX 90682- MOMBASA KENYA	8,402,941	0.55%
9	PRADEEP PATANI	P.O. BOX 48673-00100 NAIROBI KENYA	7,663,202	0.50%
10	NAIROBI MEDICAL STORES LTD	P.O. BOX 49996-00100 NAIROBI KENYA	7,200,000	0.47%
11	Others		1,113,330,029	72.77%
	Grand Totals:		1,530,000,000	100.00%



NOTICE OF THE ANNUAL GENERAL MEETING (AGM) 2017

NOTICE IS HEREBY GIVEN to the shareholders of Mumias Sugar Company Limited that the 46th Annual General Meeting of the company will be held in Mumias Sugar Company on Friday 22nd December, 2017 at Booker Academy Multipurpose Hall at 10.00 am to conduct the following business:

AGENDA

1. Constitution of the meeting
 - a) To read the notice convening the Meeting and determine if a quorum is present.
 - b) To confirm the minutes of the 45th Annual General Meeting held on 9th December, 2016.
2. Ordinary Business
 - a) Present the Financial Statements for the year ended 30th June, 2017
To receive, consider and if approved, adopt the Financial Statements for the year ended 30th June, 2017 together with the Directors and Auditors Reports thereon.
 - b) Election of Directors:
 - i. Eng James Opindi and Mr. James Mathenge resigned from the board in the course of the year and shareholders will elect suitable Directors to fill these positions.
 - c) Remuneration of Directors
To consider and approve the Directors' fees for the year ended 30th June 2016.
 - d) Appointment and remuneration of Auditors
To note that the Auditors Messrs R.S.M Eastern Africa being eligible, continue in office in accordance with section 712(2) of the Companies Act 2015 and to authorize the directors to fix their remuneration.

BY ORDER OF THE BOARD

Mr. Henry Omukamani Wanyundi

Company Secretary (Ag)

Date: 30th November 2017

Note:

1. Any member may by notice duly signed by him or her and delivered to the Secretary, Office of the Company Secretary, Mumias Sugar Company Limited, Headquarters, Off Bungoma-Kakamega Road, Mumias, P.O. Box Private Bag, Mumias, not less than 3 and not more than 21 days before the date appointed for the Annual General Meeting, give notice of his intention to propose any other person for election as director to the Board, such notice is to be accompanied by a notice signed by the person proposed indicating his or her willingness to be elected, The proposed person need not be a member of the company.
2. A member entitled to attend and vote at the meeting and who is unable to attend is entitled to appoint a proxy to attend and vote on his or her behalf. A proxy need not be a member of the Company, A form of proxy may be obtained from the Company's web site or from the company's share registrars. To be valid, a form of proxy must be duly completed and signed by the member and must either be lodged at the offices of the company's share registrars, or be posted, so as to reach Image Registrars Limited, 5th Floor, Barclays Plaza, Loita Street, P.O. Box 9287, Postal Code 00100 G.P.O. NAIROBI not later than Wednesday 20th December, 2017.

If the appointer is a corporation or Government office, the instrument appointing the proxy shall be given under its common seal or under the hand of an officer or duly authorized attorney of such corporation or Government office.

In accordance with the article 155 of the company's Articles of Association, a copy of the entire Annual Report and Accounts, a copy of this notice and a proxy form may be viewed on and obtained from the Company's web site at www.mumias-sugar.com An abridged version of the statement of Financial Position, Statement of Profit or Loss and other comprehensive income, statement of changes of equity and statement of cash flow for the year ended 30th June 2017 have been published in two daily newspaper with nationwide circulation.

NOTISI YA MKUTANO WA PAMOJA WA MWAKA (AGM) 2017

NOTISI INATOLEWA inapewa kwa wanahisa wa Kampuni ya Sukari ya Mumias kwamba mkutano wa kila mwaka wa arobaini na sita (46) utaandaliwa katika Kampuni ya Sukari ya Mumias katika shule ya Sekondari ya Booker ndani ya ukumbi wa shughuli mbali mbali (Multi-purpose Hall) tarehe 22 Desemba, 2017 kuanzia saa 10.00 asubuhi kushughulikia yafuatayo:

AJENDA

1. Katiba ya mkutano.

- (a) Kusoma notisi iliyoandaa mkutano na kuamua ikiwa idadi inayohitajika ipo.
- (b) Kudhibitisha kumbukumbu za mkutano wa kila mwaka wa arobaini na tano (45) ulioandaliwa tarehe 9 Desemba, 2016.

2. Shughuli ya kawaida

- (a) Ripoti na taarifa za fedha za mwaka uliokamilika tarehe 30 Juni, 2017. Kupokea, kutadhimini na ikipitishwa, kuidhinisha taarifa za fedha kwa mwaka uliokamilika tarehe 30 Juni, 2017 pamoja na ripoti ya wakurugenzi na wakaguzi hapo baadaye.
- (b) **Uchaguzi wa wakurugenzi**
Mhandisi James Opindi na Bwana James Mathenge walijiuzulu kutoka kwenye bodi mwakani na wanahisa watachagua wakurugenzi wanaofaa kuchukua nafasi zao.
- (c) Ukadiriaji wakurugenzi
Kuzingatia na kuidhirisha malipo kwa wakurugenzi kwa mwaka uliokamilika tarehe 30 Juni, 2017.
- (d) Ukadiriaji na utenzi wa wakaguzi
Kutambua kwamba wakaguzi R.S.M. Afrika Mashariki, kwa kutimiza masharti waendeleo kuhudumu ofisini kulingana na sehemu 712 (2) ya sheria za kampuni ya 2015 na kuidhinisha wakurugenzi kuamua malipo yao.

KWA AMRI YA HALMASHAURI



Bwana Henry Omukamangi Wanyundi

Katibu wa Kampuni (kaimu)

Tarehe: 30 Novemba, 2017

Note:

1. Mwanachama yeyote anaweza kwa notisi iliyotiwa sahihi naye na kupokezwa katibu, ofisi ya Kampuni, makao makuu ya Kampuni ya Sukari ya Mumias, barabara ya Bungoma – Kakamega, Sanduku la Barua Mfuko wa Siri Mumias, kwa siku zisizopungua tatu (3) na zisizozidi 21 kabla ya tarehe iliyoratibiwa mkutano wa kila mwaka kutoa taarifa yake ya lengo la kumpendekezwa mtu mwengine yeyote kwa uchaguzi kama mkurugenzi kwa bodi, taarifa kama hii iandamane na taarifa nyingine ambayo imetiwa sahihi na anayependekezwa akionyesha nia ya kuchaguliwa. Mtu anayependekezwa asiwe mwanachama wa Kampuni.
2. Mwanachama aliye na haki ya kuhudhuria na kupiga kura katika mkutano na asiyeweza kuhudhuria ana haki ya kuweka wakala ahudhurie na apige kura kwa niaba yake. Mwakilishi si lazima awe mwanahisa wa kampuni. Fomu ya mwanahisa inaweza kupatikana kwenye tovuti ya Kampuni ama kutoka kwa waandikishaji wa washiriki wa Kampuni. Ili kuwa halali, wakala lazima awe amekamulika kutiliwa sahihi na mwanachama ni lazima ujumbe huo uwe ulifika katika ofisi za waandikishaji wa washiriki ama utumwe ili ufikie wandishi wa picha, 5th floor, Barclays Plaza, Loita Street, Sanduku La Posta 9287 – 00100 GPO Nairobi kabla ya Jumatano tarehe 20 Desemba, 2017.

Iwapo mteuzi ni shirika ama ofisi ya serikali, chombo kinachoteua kitapeanwa chini ya muhuri wa kawaida ama chini ya maandishi ya afisa ama wakili aliyepewa maamlaka ya shirika ama ofisi hiyo ya serikali.

Kwa mujibu wa kifungu cha 155 cha vifungu vya ushirika, nakala za ripoti ya mwaka na akaunti, nakala ya taarifa na fomu ya wakala huenda zikatazamwa na kupatikana kutoka tovuti ya Kampuni ambayo ni www.mumias-sugar.com. Toleo la taarifa za hali za fedha, taarifa ya faida au hasara na taarifa nyingine ya mapato na mabadiliko na usawa na mtiririko wa fedha kwa mwaka uliomalizika tarehe 30 Juni, 2017 imechapishwa kwa mzunguko wa taifa.



DIRECTORS



Chairman

Dr. Kennedy Ngumbau Mulwa, PhD, HSC

Kennedy holds a United Graduate College and Seminary International honorary Doctor of Philosophy Degree in Humanities and is currently pursuing a Doctorate degree in Business Leadership at Management University of Africa. He also holds an Executive MBA from Jomo Kenyatta University of Agriculture and Technology and a BA Degree in Economics (1st Class Hons), from State University of New York, Old West New York-U.S.A. and Diplomas in Business Management, Education (Humanities), and Theology. He has participated in several Seminars and workshops in all aspects of management including Corporate Governance.

Dr. Ngumbau is a leading Executive Administrator of high integrity, honesty, transparency and prowess in both international & National development. He has and continues to participate in a dynamic and competitive environment which espouses team work, equity, creative innovation, accountability, professionalism, valuing diversity, commitment to service delivery, proactiveness, rule of law, value addition and participatory leadership with a goal driven objective of transforming the country. He has over 15 years valuable experience in top leadership both nationally and internationally in the USA. Currently he is the Managing Director/CEO of M & M Hotels & Resort Ltd-4 star Hotel, Muken General Traders (Dealers in electronics & real estate), Whitestone Auctioneers (K) Ltd -Class B license holder and Elgon Properties Limited. He is a Director in Pelican Signs Limited, Director Asia Pacific (HNS) Based in Australia (Whitehead), Hong Kong (Central) and China- Guang -Guang-Zhon, Muland Properties, Member of Diplomacy of Commerce of Kenya National Chamber of Commerce & Industry, Cottars Safari Services Ltd, Milestone Auctioneers Ltd and St. Lukes Secondary School-Machakos. He is a Chairman on the Boards of Zoar General Contractors Ltd, Mulundini Development Group Association and Ukambani Economic Empowerment Association. He has also done a lot in community service in diverse areas within the republic of Kenya.



Director

Mrs. Patricia A. O. Adala

Patricia holds a Master of Arts degree in Economics; a Bachelor of Arts degree in Economics and a Bachelor of Philosophy (Economics) from University of Nairobi. She started her career in Government as a Planning Officer in the Ministry of Planning and Economic Development and thereafter held various senior positions in public institutions including the Kenya Tourist Development Corporation where she served as a Projects and Loans Manager and in Kenya Airways, as Ag General Manager Marketing.

She has previously sat on the Boards of Kenya Revenue Authority, The Women Enterprise Fund and as a Commission Member in the Privatization Commission, where she served for two 3-year terms as the Chairman of the Steering Committee on the Privatization of the Public Sector Owned Sugar Companies. In that capacity she obtained first hand exposure to the key issues affecting the development of the sugar industry both globally and locally and was responsible for devising some possible strategic approaches to solving the many challenges facing the industry in Kenya.

Mrs. Adala has attended many key trainings & workshops in various areas including privatization of public enterprises, strategic leadership and change management, oversight roles in public boards, Corporate governance, Enterprise Risk Management, market analysis, and strategic management giving her a wealth of experience spanning over 30 years in economic planning and analysis of development issues.

She is the Executive Director of Raydoll Tours and Travel Ltd, a family business she has successfully operated for the last 21 years.



Director

Nancy Kaminchia

Mrs Kaminchia holds a Master of Science Degree in Crop production from Bath University -UK, a Bachelor of Science Degree in Agriculture from the University of Nairobi and a Certificate of Proficiency from College of Insurance, NBI (Trusteeship). She has extensive training & experience in Agriculture especially the Sugar sector, environmental audit and Corporate Governance, all gained while working in the public service and consultancy fields. Previously she served on the board of Privatization Commission and as a Trustee of a non- profitable organization - Mbegu Trust. She is a member of Institute of Directors, Kenya Chapter and a non- Executive Director of Middle East Bank Kenya Ltd.

DIRECTORS (CONTINUED)



Director

Mr. Peter Khamusali Ingosi

Mr. Ingosi holds a Master of Arts degree in Community Development & Project Management from Suny University, Geneseo, USA, a post graduate Diploma in Sustainable Community Development & Project Management from Baraka Agricultural College and a Bachelor of Science degree in Animal Production from Egerton University. Peter is a longtime advocate of grassroots development and has more than 12 years in the private, public and NGO sectors.

Peter is a consultant and Liaison person in diverse areas of Community Development inter alia, HIV/AIDS, Women Empowerment, Protection of the girl child and other vulnerable groups in society. This he has practiced with Women Microfinance Initiative, Cabin John, MD Washington USA; Just One Person

(JOP); North Valley Community Foundation, Chico State USA; and Fund for Orphans Affected with Aids in Africa (FOAA) amongst others. Peter has strong mobilization, teamwork, intercultural integration and effective communication skills.

He was formerly the Program Director at Foundation for Sustainable Development International (FSD), USA & SFO. He also worked at Unga Feeds Ltd as a production Manager and lectured at Baraka Agricultural College. He has served on various school boards and other institutions.



Director

Mrs. Joanne Tabuke

Mrs. Joanne Tabuke holds a Bachelor of Arts Degree from the University of Nairobi and a Post graduate Diploma in Human Resource Management. She is an active member of the Institute of Human Resource Management and has an extensive experience as a Human Resources Specialist spanning over 20 years. She has highly achieved from over 12 professional training opportunities in Human Resources Management and corporate governance. Currently, she heads the Human Resources function at Rea Vipingo Plantations Limited – Dwa Estate being the Human Resources & Administration Manager. Previously, Joanne served this role at Mumias & Busia Sugar Companies amongst other assignments, giving her a wealth of corporate leadership experience.

In addition, she is serving as a Director on the Boards of Mumias Sugar Company Limited and Nasio Trust where she is the Chairperson of the Board of Trustees. Nasio Trust operating in Musanda & Mumias is a testament to her strength & prowess in corporate governance and community mobilization. Joan's tenure has catalyzed the success of Nasio Trust in supporting around 400 orphaned & vulnerable children and empowering the community to break the cycle of poverty through establishment of sustainable income-generating projects. Previously, she served on the Board of Lake Victoria North Water Services.



Director

Mr. Abraham Koech

Mr. Koech is a holder of MBA in Strategic Management from Jomo Kenyatta University of Agriculture and Technology and a BA Hons in Economics from the University of Nairobi. Has over 21 years of service in Corporate and Public Sector. Currently, serving as an Alternate to the Cabinet Secretary National Treasury in the Boards of Mumias Sugar Company Ltd, Kenya Seed Company Ltd, and Kenya Film Classification Board.



Director

Ms Naomi Cidi Kumbatha

Naomi holds a Masters of Arts Degree (MA) and Post graduate Diploma in marketing from McGill University in Canada, and is an active member of The Institute of Director (IOD) Kenya and The Marketing Society of Kenya. She has also attended a number of specialized seminars and workshops in all areas of marketing and personnel management, international labour laws, laws of Kenya and customer service related to all products based on international standards.

Ms. Cidi, is a communication and marketing expert, currently operating in the Great Lakes region on an Aviation Consultancy Contract, opening offices for small airlines. She has demonstrated Particular strength in the fields of Marketing, Public Relations, Personnel Management and Industrial Administration having

worked in senior positions at corporate management level for over 15 years, including four years as the Deputy Managing Director of Kenya Airports Authority, where she was instrumental in the development of plans for expansion of infrastructure and service delivery. Amongst her other key assignments was the General Manager in charge of Sales at Kenya Airways and oversaw a record performance in terms of growth in passenger numbers and revenues. Her other key achievements include the successful marketing of the Kenya Duty Free Complex from 1992 to 1995; and implementing a very effective marketing and publicity Campaign for the First Africa Military Games in 2002. She has chaired the Board of Airlines (BAR) and APJC in East Africa.

She is involved in empowerment of the general welfare of Kenya through the promotion of women economic development and advancement of good corporate Governance. She initiated and launched the Malindi Women Development Trust to help village women in establishing small scale business and exploit available natural resources such as the Neem Tree which grows wild in Kilifi County.



Director

Mr. Nelson K. Orgut, ACI, Arb

Mr. Orgut passed the then Prestigious East African Advanced Certificate of Education in 1971 at Kagumo High School, Kiganjo. Thereafter, in the course of his career, he attended various management training programmes carried out at the Kenya Institute of Management, MICAS, TACK Training International, Fintech Kenya, Zedezen, VAS and Ashby Pearce Management Consultants, which have built up his various managerial capacities. He is an Associate of the Chartered Institute of Arbitrators (CI Arb) and is currently pursuing full membership.

Nelson has a long and extensive experience developed for over forty years whilst in different leadership positions in the Kenyan Tea Industry, mainly while working with James Finlay (K) Ltd (known previously as African Highlands Produce Company Ltd) – and now part of the Swire Group. Nelson retired from James Finlay (K) Ltd in 2013 in the position of Operations Director, held since 2008. During his career with Finlays he served in different capacities interalia, Estate and Factory Manager, head of Factories and Marketing before assuming the role of Operations Director and overall in charge of Production, Marketing and company Corporate Affairs. While at Finlays, Nelson also played the lead role in the restructuring of field and factory operations that led to enhanced performance and profitability, placing Finlays amongst the leaders in the tea industry.

Mr. Orgut also served for many years on the management committee of EATTA (East Africa Tea Trade Association) – the organization that runs the weekly Mombasa Tea Auctions and held the position of Chairman in 2001, 2004 and 2011 to 2012. Between 2010 and 2012, he spearheaded the transition in EATTA, from a management Committee to a fully-fledged Board as it exists currently.

Mr. Orgut is currently a Board Member of the Public Procurement Administrative Review Board (PPARB).



Dr. Kennedy Ngumbau Mulwa,
PhD, HSC
Chairman

CHAIRMAN'S STATEMENT

Overview

The financial year ended 30th June 2017 was a challenging one in terms of achievement of the company objectives. We faced acute cane shortages which led to under capacity operation of the factory and low production as the plant had to be shutdown for three months to allow sugarcane to grow and manage the raw material costs. Consequently, the company closed the year with a loss.

Business environment review

The global sugar industry recorded a rebound in world sugar production level from the slump in production recorded in the 2015/16 financial year. A total of 172 million metric tonnes were produced for marketing as opposed to the 165 million metric tonnes produced the previous year. The jump in production supports record exports and consumption at 62 million and 174 million tonnes, respectively.

Ending stocks are forecast up 5 percent as higher stocks in the EU and India more than offset lower stocks in China. The 2017/18 production is forecast to rise by 13 million tonnes to a record 185 million. If realised, production would be 20 million tonnes higher than the 5-year low just 2 years earlier. Record production in Brazil, expected output recovery in India and Thailand due to favorable weather, the end of production quotas in the European Union (EU), and area expansion in China are the factors contributing to this.

Turning to Africa, sugar production has stayed fairly stable at about 14 million metric tonnes per annum over the last 2 years. The Sugar Industries in Africa are diverse, with different production systems, ownership structures, and market outlets. Sugar consumption in Africa has equally remained stable at about 15 million tonnes

annually over the last two comparative periods, but is expected to grow to 20 million tonnes in the coming year, perpetuating the continent's position as a net importer of sugar. The largest African sugar-consuming countries, in order of importance are: Egypt, South Africa, Nigeria, Sudan and Kenya.

In Kenya, overall sugar production remained lower during the year under review as compared to the previous year. A total of 520,000 metric tonnes was produced as compared to 580,000 tonnes in 2015/16 period. This reduction was as a result of a national acute cane shortage leading to mills scrambling for the little available crop to the extent of compromising cane quality. In some instances young cane of as low as 8 months was reportedly harvested. Cane poaching and other unethical practices were reported. The rampant cane poaching was also exacerbated by the abolishment of cane zoning by Ministry of Agriculture and by the absence of a legal framework to control cane sourcing. This remained so despite earlier cane availability projections by Agriculture Food and Fisheries Authority that the total cane demand for the year under review would be 10,332,000 tonnes against available milling cane of 8,847,429 tonnes leaving an estimated deficit of 1,484,571 tonnes. Sugar development levy which was a source of funding for cane development was also abolished and this will impact future cane availability.

Company performance

Volume of cane delivered to factory for processing was 419,147 tonnes. This was a drop of 65% compared to 1,210,164 tonnes delivered the previous year. As already pointed out, this was due to acute cane shortage experienced in the zone and entire industry leading to milling of young cane. The company took the prudent step of closing the factory for the last three months of the period to safeguard shareholders value from further erosion through losses and allow sugarcane to grow.

Gross turnover reduced by 63% during the financial year to Shs 3,341 million down from Shs 9,116 million achieved in 2016 mainly because of decrease in sales volumes across various product lines resulting from low production.

Corporate social investment

Mumias Sugar Company (MSC) takes cognizance of the fact that by managing and improving the social, environmental and economic impacts of its day to day operations, there is opportunity to increase public confidence and





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satisfaction. This is done by preventing or reducing negative impact on the environment while improving quality of services and production efficiency and effectiveness. Despite the constraints in the finances of the company, MSC through Mumias Sugar Foundation paid bursary fees amounting Shs 1,228,685 (One million, two hundred and twenty eight thousands six hundred and eighty five) for 120 needy bright children in a number of secondary schools in the sugar cane scheme during the year. Through Mumias Elimu Trust it has sponsored 20 bright but needy students from the farming community and employees into form one for a four year secondary education program at Booker Academy. The company has continued to invest and provide quality health care and sanitation through her Maternal Child Health (MCH) facilities.

Corporate governance

There continues to be an enhancement in the pertinent skills mix in the Board. To this end, three new directors were elected by shareholders at the 45th Annual General meeting held on 9th December 2016 to replace those who retired by rotation. The position of Board Chairman which fell vacant in the process was also filled.

Dividends

Due to the challenging performance in the period under review, the Directors do not recommend payment of dividends.

Future Outlook

The Board of Directors view the Company's outlook as positive and that the on-going initiatives will stabilize and revitalize the Company. The market for sugar remains guaranteed in Kenya due to the current local sugar supply deficit. Similarly, there is a high demand for high quality ethanol which we believe will



be sustained. These two segments remain our key business focus going forward. The Company has also undertaken measures aimed at resuming power export business at a renegotiated higher tariff and ensuring that the water bottling plant contributes additional revenue in the new financial year. With the current competitive sugar cane pricing, hastened farmer payments and enhanced cane conveyance logistics, the Company is attracting most of the cane in the Mumias zone. Further, the increasing number of private cane farmers in the western sugar belt and surrounding environs relative to contracted farmers is a positive trend towards improved cane availability. The Board and management have initiated a Turnaround strategic survival plan focused on the above including enhancing cane availability, factory optimization, improved financial management, strengthened internal controls and a performance driven work force.

Appreciation

We are indeed grateful to our shareholders for the continued support, understanding and patience as the Board of Directors continue with the turnaround efforts. The Government of Kenya as the anchor shareholder has also showed the goodwill demonstrated in assisting Mumias Sugar Company financially. We thank our other stakeholders including employees, customers, farmers, suppliers and financiers for their contribution to the continued pursuit of the mission of the company despite the challenges we have faced.

Kennedy Ngumbau Mulwa PhD, HSC
Chairman



**Dr. Kennedy Ngumbau Mulwa,
PhD, HSC
Mwenyekiti**

ikilinganishwa na tani metri milioni 165 zilizozalishwa mwaka uliotangulia. Uzalishaji mwaka wa 2017/2018 unatabiriwa kuongezeka kwa tani metri milioni 13 kufanya jumla ya uzalishaji kuwa rekodi ya tani metri milioni 185. Iwapo itatimizika uzalishaji utakuwa tani metri milioni 20 zaidi ikilinganishwa na kiwango cha chini sana katika miaka tano (5) iliyopita. Rekodi ya uzalishaji nchini Brazil, matarajio ya kupata upya katika pato nchini India na nchini Thailand kwa sababu ya hali ya hewa nzuri, kutamatishwa kwa quota za uzalishaji katika Umoja wa Ulaya (EU) na upanuzi wa eneo nchini China ni sababu zinazochangia katika swala hili. Huku kuongezeka maradufu katika uzalishaji kunasaidia kuimarisha mauzo ya nje na matumizi katika milioni tani sitini na mbili (62) na miamoja na sabini na nne (174) mtawalia. Hifadhi za mwisho zinatabiriwa kuongezeka kwa asilimia tano (5) kwa vile hisa nyingi katika Umoja wa Ulaya (EU) na India ni zaidi ya hisa za chini nchini China.

RIPOTI YA MWENYEKITI

MAELEZO YA JUMLA

Mwaka wa kifedha uliokamilika tarehe 30 Juni, 2017 ulikuwa wenye changamoto katika mafanikio ya malengo ya Kampuni.

Tulikumbwa na uhaba mkubwa wa miwa jambo lililosababisha kiwanda kuendeshwa chini ya uwezo wake na hivyo kiwango cha chini cha uzalishaji. Kiwanda kilifungwa kwa miezi mitatu ili miwa ikue na kumudu gharama ya mali ghafi. Kwa hivyo Kampuni ilifunga mwaka huu wa kifedha na hasara.

TATHIMINI YA MAZINGIRA YA BIASHARA

Katika sekta ya sukari kimataifa, kulikuwepo na ishara kuwa viwango vya uzalishaji sukari ulimwenguni vinaimarika ikilinganishwa na kupungua kurekodiwa mwaka wa kifedha wa 2015/2016. Kwa hivyo jumla ya tani za metri milioni 172 zilizalishwa kwa mauzo

Tukiangazia Bara Africa uzalishaji wa sukari umesalia imara, takribani tani metri milioni kumi na nne (14) kila mwaka kwa kipindi cha miaka miwili iliyopita. Sekta za sukari barani Afrika ni tofauti na mifumo mbalimbali ya uzalishaji, miundo ya umiliki na masoko ya uuzaji. Matumizi ya sukari barani humu pia yamesalia imara, takribani tani metri milioni kumi na tano (15) kila mwaka kwa miaka miwili inayorejelewa, lakini yanatarajiwa kuongezeka hadi tani metri milioni ishirini (20) mwaka ujao hivyo kulifanya bara kuagiza sukari kutoka nje. Mataifa ya Afrika katika utaratibu wa matumizi ya sukari na yanapoipa umuhimu ni Egypt, South Africa, Nigeria, Sudan na Kenya.

Nchini Kenya kwa ujumla, uzalishaji sukari ulisalia kiwango cha nchini katika mwaka unaorejelewa ikilinganishwa na mwaka uliotangulia. Jumla ya tani metri elfu mia tano ishirini (520000) zilisagwa ikilinganishwa na tani metri elfu mia tano na themanini (580000) zilizosagwa mwaka tangulizi wa 2015/2016. Upungufu huu ulisababishwa na uhaba mkubwa wa miwa uliopo mashine ya usagaji sukari kung'ang'ania miwa michache iliyokuwepo bila kuzingatia ubora wake. Mfano ni pale ambapo miwa michanga ya miezi isiyozidi nane (8) iliripotiwa kukatwa. Wizi wa miwa na visa vingine visivyokubalika vilivyohusika na malighafi viliripotiwa. Hii ni sawia na makadirio ya upatikanaji miwa yalivyofanywa awali na maamlaka ya chakula cha kilimo ambayo ilipanga kuwa miwa iliyohitajika ilikuwa tani 10,332,000 na miwa iliyopatikana kwa usagaji ikawa tani 8,847,429, hii ikileta uhaba wa takribani tani 1,484,571. Hali hii inaeleza wizi mwingi wa miwa ambao pia uliwezesha na kufurahia kutokuwepo kwa mfumo wa sharia wa kudhibiti ufikiaji miwa na kufutuliwa mbali kwa miji ya kugawa maeneo ya miwa (cane zoning) na wizara ya kilimo. Ushuru wa ukuzaji sukari ambao ulikuwa njia ya kutoa fedha kukuza miwa pia ulifutuliwa mbali na hili litaathiri upatikanaji wa miwa usoni.

UTENDAKAZI WA KAMPUNI

Kiasi cha miwa iliyopokelewa na Kampuni kusiagwa ilikuwa tani 419,147. Hii ilikuwa ni kupungua kwa asilimia sitini na tano (65) ikilinganishwa na tani 1,210,164 zilizopokelewa mwaka tangulizi kutokana na uhaba mkubwa wa miwa ulioshuhudiwa katika eneo hili na hata sekta yote jinsi nilivyoeleza awali na kupelekea kusiaga miwa michanga.

Mauzo makubwa yalipungua kwa asilimia sitini na tatu (63) katika mwaka huu wa kifedha mpaka milioni 3,341 kutoka kwa milioni 9,116, mafanikio ya mwaka 2016 sababu kuu ikiwa ni kupungua kwa mauzo ya bidhaa mbalimbali kutokana na kiwango cha chini cha uzalishaji.





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UWEKEZAJI KATIKA JAMII

Kampuni ya sukari ya Mumias (MSC) inafahamu kuwa kwa kusimamia na kuboresha jamii, mazingira na athari za kiuchumi za shughuli za kila siku, kuna nafasi ya kuongeza uaminifu kutoka kwa umma na kuridhika kwao hivyo kuzuia na kupunguza athari hasa kwa mazingira huku ikiongeza na kuboresha ubora wa ufanisi wa huduma na ufanisi katika uzalishaji. Hii inaeleza ni kwa nini licha ya vikwazo katika ufadhili wa Kampuni, MSC kupitia Mumias Sugar Foundation, imelipa wanafunzi basari ya karo ya shilingi 1,228,685 (Milioni moja, mia mbili na ishirini na nane elfu, mia sita themanini na tano) kwa wanafunzi wahitaji na werevu Mia moja na ishirini (120) katika ile idadi ya wanafunzi wa shule ya upili katika 'Sugarcane Scheme 2017'. Kwa upande mwingine, Mumias Sugar Elimu Trust, ilifadhili wanafunzi ishirini (20) warevu na wahitaji kutoka kwa jamii ya wakulima na wafanyikazi katika kidato cha kwanza shuleni Booker kwa mpango wa miaka minne ya elimu ya sekondari. Katika nguzo ya afya Kampuni imeendelea kukeza na kuboresha huduma za afya na usafi wa mazingira katika kifaa cha afya ya uzazi wa akina mama (MCH).

UTAWALA WA USHIRIKA

Kumekuwapo kuendeleza ukuzaji wa ujuzi muhimu changamano kwenye bodi. Kutimiza haya wakurugenzi watatu wapya walichaguliwa na wanahisa katika mkutano mkuu wa kila mwaka wa 45 mnamo tarehe 9 Desemba, 2016 ili kuchukua nafasi za wale waliostaafu kwa kuhitimu. Nafasi ya mwenyekiti wa bodi iliyoachwa wazi kupitia njia hii pia ilijazwa.

Mabadiliko laini pia yaliathirika katika ofisi ya CEO kwa vile mtu mpya aliteuliwa kuchukua nafasi ya aliyemtangulia ambaye kandarasi yake ilitamatika na akaamua kutoomba kuhudumu tena.

MGAO WA FAIDA (DIVIDENDS)

Kutokana na changamoto katika ufanisi katika kipindi hiki, wakurugenzi hawapendekezi kulipwa kwa gawio (dividends).



MATARAJIO YA SIKU ZA BAADAYE

Bodi ya wakurugenzi inaona hali ya kampuni katika siku zijazo ikiwa ya matumaini kutokana na mipango madhubuti inayoendelea itaweza kufanya kampuni iwe dhabiti. Soko la sukari nchini liko kutokana na kiwango cha chini cha uzalishaji. Vile vile mauzo ya ethane yanatarajiwa kuwa ya juu. Idara hizi mbili zitazingatiwa kama nguzo muhimu katika biashara ya kampuni. Kadhalika kampuni imechukua hatua za kuhakikisha kwamba inarudia shugli ya kuuza umeme kwa kiwango cha malipo iliyo imarika na kwamba kiwanda cha maji kitaweza kuchangia katika mapato ya kampuni mwakani. Juhudi ya sasa ya kulipa wakulima kwa haraka na bei nzuri, kusafirisha miwa kwa wakati, na kuongezeka zaidi kwa wakulima wa kibinafsi kuliko wenye kandarasi kunachangia kuvutia miwa mingi kutoka eneo la Mumias na maeneo mengine. Hali hii inahakikisha kuongezeka kwa kiwango cha miwa kinacho fikishwa kiwandani. Bodi na wasimamizi wa kampuni wameweka mikakati ya kuhushia kampuni ambazo zinazingatia kuwepo kwa miwa ya kutosha, kuimarisha utendakazi kiwandani, usimamizi bora wa kifedha, udhibiti wa ndani katika michakato ya kampuni na kuhakikisha kwamba wafanya kazi wote wanazingatia uboreshaji wa matokeo ya kampuni.

SHUKRANI

Tunafurahi kwa wanahisa wetu kwa kuendelea kutusaidia, kuelewa na kuvumilia wakati bodi ya wakurugenzi inapoendelea kubadili mchakato huu. Serikali ya Kenya kama mwanahisa maalum pia imeonyesha wema kusaidia Kampuni ya sukari ya Mumias kifedha. Tunashukuru wanahisa wetu wakiwemo: wafanyikazi, wateja, wakulima, wauzaji na wafadhili kwa mchango wao kwa Kampuni licha ya changamoto tunazopitia.

Kennedy Ngumbau Mulwa PhD, HSC
MWENYEKITI

MANAGEMENT TEAM



Chief Executive Officer

Nashon Aseka

Nashon has a vast experience in the sugar industry spanning over 35 years. Prior to his appointment on 15th June, 2017, he was the Interim Manager, Technical and Advisory Services Department at the Sugar Directorate – Agriculture and Food Authority (AFA). Previously, he worked as the Head of Sugar Technology at Kenya Sugar Board, Lecturer in the Department of Sugar Technology at Masinde Muliro University of Science & Technology and Head of Factory Operations and Head of Projects & Business Development respectively at Mumias Sugar Company where he rose through ranks from a management trainee's position.

Mr. Aseka holds two Masters degrees, an Msc in B/Services Engineering & an MBA from Brunel University (UK), a Bachelor of Science degree in Chemistry from University of Nairobi, Diploma

in Company Direction (Corporate Governance) from Institute of Directors, London & a distinction certificate – Gold Medal Award in Sugar Technology from Mauritius and is a fellow of the Institute of Directors (FinstD), UK.

He served before as a member of the Synodical standing committees of the Anglican Church of Kenya (ACK) dioceses of Butere and Mumias.



Chief Factory Operations Officer

Eng. Josephat Asira

Asira has over 24 years of experience in Factory operations having joined Mumias Sugar Company in the Factory Department as a Management trainee in 1991, rising through the ranks to become the Director of Factory operations. Asira was appointed Chief Factory Operations Officer effective 1st July 2015 in the Company's refreshed structure. Josephat holds a Bachelor of Science degree in Electrical Engineering from the University of Nairobi, Industrial Control Engineering Technology Diploma from ICS/ICEX Australia and a Diploma in Cane Sugar Technology from Robert Antoine Sugar Training Centre in Mauritius. He has also trained in Industrial Automation and Project Management in South Africa. He is a Certified and Registered member of the Engineers Registration Board and Institute of Engineers of Kenya.



Chief Finance Officer (Ag).

Jonathan Koome

Jonathan has over 12 year's cumulative working experience including an extensive & practical Finance department leadership role with 2 years in Enterprise Risk Management & Strategy implementation. He joined Mumias Sugar Company Ltd. in September 2010, as an Internal Audit Manager in the Audit Department. He has risen through the ranks to the current position of Chief Finance Officer (Ag) effective 11th August 2017. Koome has served Mumias Sugar Company in the same capacity from March 2015 to January, 2016.

Prior to joining MSC, he was the Accounts Manager, ARM Cement Ltd Kenya. He also worked with Ernst & Young Nairobi, Kenya as an Audit Trainee rising to Senior Auditor and Consolidated Bank of Kenya as a Graduate Clerk. He holds an MBA (Finance option)

Degree from University of Nairobi, Bachelor of Commerce (Accounting Option) Degree from Kenyatta University. He is a Certified Public Accountant of Kenya CPA (K) and a member of Institute of Certified Public Accountants of Kenya (ICPAK) and a Certified Information Systems Auditor (CISA).



Chief Supply Chain Officer

Eddie B. Odhiambo

Appointed effective 1st July 2015, Eddie has a wealth of management expertise and experience in a cross section of functional areas of Supply Chain in both public and private sectors, having held senior management positions in a number of companies most recently KenGen and Coca Cola, Kenya Airways and Carnaud Metal box before. He holds an MBA and Bachelor of Science Degree from University of Nairobi and Jomo Kenyatta University of Agriculture and Technology respectively. He is a Full member of the CIPS and KISM having attained the Professional Diploma in Purchasing and Supply Management from CIPS-UK.



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Chief Commercial Officer

Julie Kisaka

Julie was appointed to this position on 1st July 2015. She is a senior management executive with over 17 years frontline commercial experience. Prior to joining Mumias Sugar Company Limited, she worked at The Nation Media Group as Commercial Manager in both the commercial and distribution department and Standard Group as the Head of Publishers distribution services (PDS). Julie holds an MBA in Strategic Management from the University of Nairobi and a BA from the same university.



Chief Human Resource Officer (Ag).

Prisca Dorine Otipa

Prisca has over 10 years' experience in Human Resource Management and Consultancy. She has developed HR policy manuals, Job description; organization charts and staff establishment; strategic business & work plans and schemes of service. She has been involved in recruitment and placement of staff and also development and implementation of performance contract; Pension and Provident schemes. She has managed Occupational Health and Safety roles in the organization she has worked for. Prisca has participated in culture change, monitored Quality, Safety, Health and Environment requirements at work place. Prior to her appointment on 11th August 2017 as Chief Human Resource Officer (Ag), she worked as Talent Manager from 2014. Previously, she worked at Crowe Horwath East Africa

as an Associate Consultant – Human Capital Advisory and Kenya Accreditation Service (KENAS) as an assistant Director – Human Resources & Training where she developed the first Staff Manual, HR policies and recruited staff for the organization.

Prisca holds a Bachelor's degree of Business Administration (HRM) from Kenya Methodist University and a Diploma in Human Resource Management from University of Nairobi. She is a Full Member of Institute of Human Resource Management - Kenya (IHRM-K). She is fully trained on use of E-performance in employee Appraisals and training of trainers (TOT). She is currently pursuing Masters in HRM.



Manager Corporate Affairs and Strategy

Moses O. Owino

Moses has a long outstanding experience in the Kenyan Sugar Industry spanning over 24 years in the middle and Senior Management positions across the departments of Agriculture, Planning and Corporate Strategy. Prior to his appointment on 1st July 2015, he was the GIZ County Programme Manager for Siaya County, having previously served as the Corporate Strategy and Planning Manager for Sony Sugar and Nzoia Sugar Companies. He holds an MBA, Strategic Management option degree; Bachelor of Agribusiness Management (1st Class honours) degree; Diploma in Farm Management (with distinction) and Certificate in Agriculture (with distinction) from Kisii University, Egerton University and Kilifi Institute of Agriculture. He is also a KEBS Certified Lead auditor in Environmental Management Systems as per the requirements of ISO 14001:2004, and trained in Corporate Governance.



Head of Agriculture Production

Dr. Jonathan Mutonyi

Dr. Mutonyi is a professional Agronomist with over 15 years of experience at senior levels in the sugar industry. Prior to his appointment as the Head of Agriculture Production, on 7th November, 2017, he was the company's Agronomist. Before joining Mumias Sugar Company on 1st August, 2005, Jonathan was the Agronomist at Nzoia Sugar Company.

He is a holder of a Doctor of Philosophy degree (PhD) in Agronomy, a Masters degree in Agronomy and a Bachelor of Science degree in Agriculture from the University of Nairobi. He has also attended key workshops and trainings by the Kenya Society of Sugarcane Technologists and the Sugar Research Institute (SRI).

Jonathan is a member of the Kenya Society of Sugarcane Technologists (KSSCT) and the International Society of Sugarcane

Technologists (ISSCT). Previously, he was a member of the Sugar Industry Policy Development panel that championed the Kenya Sugar Industry Policy Document which is in its final stage of launching and the Kakamega County Sugar Task force where he made recommendations for revival of the ailing sugar industry in Kenya.

MANAGEMENT TEAM (CONTINUED)



Company Secretary (Ag.)

Henry Omukamani Wanyundi

Henry is an advocate of the High Court of Kenya & a Commissioner of Oaths with a wealth of legal experience in land, environment & family matters spanning over 17 years. Prior to his appointment on 29th November, 2017, he was the County Coordinator for Nairobi, Kitui, Narok & Bomet Counties under the National Land Commission. Previously, he served as the Legal Officer at the Eldoret Municipal Council & Town Clerk for Kiambu, Tharaka Nithi, Kajiado, Kitale, Vihiga & Butere Mumias local authorities.

He holds a Bachelor of Laws (LLB) degree from University of Nairobi and a post graduate Diploma in Law from Kenya School of Law. Currently, he is pursuing a Master of Science degree in Human Resource Management at the Open University of Tanzania.

Mr. Wanyundi is a member of the Law Society of Kenya, Institute of Certified Public Secretaries of Kenya (CPS – K) & Chartered Institute of Arbitrators, Kenya (CIA – K).



Manager Information Technology (Ag.)

Hezron Lusweti Wafula

Hezron has an iconic experience in ICT management expertise spanning more than 15 years from various sectors; manufacturing and telecommunications. Prior to his appointment as the Manager Information Technology (Ag) on 15th September, 2017, he was the company's Business Systems Manager a position he held after rising through ranks from the position of SAP Administrator.

Before joining Mumias Sugar Company in December, 2006, Hezron was the assistant Manager/Systems and Database Administrator at Telkom Kenya Ltd. Teleposta Towers, Nairobi.

He holds a Bachelor of Science degree in Mathematical Statistics from Moi University.



Manager Risk and Compliance (Ag.)

Joseph Wanjala Wesamba

Joseph has over 20 years' experience in Accounting and Finance. Prior to his appointment on 13th November, 2017, he was the company's Revenue Accountant a position he held after rising through ranks from the position of Internal Audit Assistant.

Mr. Wesamba holds a Master's degree in Strategic Management from Kenyatta University, a Bachelors degree in Business Administration (Accounting Option) from Kenya Methodist University, a post graduate Diploma in Project Management from the Kenya Institute of Management (KIM), a Diploma in accounting and is a Certified Public Accountant of Kenya (CPA – K). He is a member of the Institute of Certified Public Accountants of Kenya (ICPAK).



Head of Agriculture Services

Bonface S. Makhandia

Bonface has more than 20 years' experience in the sugar industry. Prior to his appointment that took effect on 7th November, 2017, he was the company's Operations Manager, Agriculture Engineering, a position he held after rising through ranks from the position of a Field Superintendent. Prior to joining Mumias Sugar Company in October 1998, Bonface was an Agricultural Officer at the Ministry of Agriculture. He holds a Master of Science degree in Agricultural Extension and a Bachelor of Science degree in Agricultural Engineering from Egerton University. Bonface is a member of Kenya Society of Sugarcane Technologists.



NASHON ASEKA
Chief Executive Officer

During the year, the Company suffered a net loss after tax of Shs 6.8 billion against the previous year's loss of Shs 4.8 billion. This represents a 41% increase in the Company's loss position.

Agricultural Operations

The major challenge faced by the Company throughout the year, was the acute sugar cane shortage experienced in the region. Total cane delivered to the factory was 419,147 tonnes, a drop of 65% compared to 1,210,164 tonnes delivered the previous year. The Nucleus estate provided 48,434 tons (12%) of this cane while contracted outgrowers and private farmers supplied 146,837 tons (35%) and 223,876 tons (53%) respectively. Low rainfall received in the area coupled with inadequate fertilizer application depressed the average yields to 32TCH from the 45.03 TCH realised in the previous year.

Cane development operations were low with only 3,619 ha planted against a target of 6,000 ha: 1,185 ha in the Nucleus Estate and 2,434 ha in out-growers fields. The company released a promising new variety FR 95-2345 with a shorter maturation cycle for propagation.

Farmer Engagement

In collaboration with the Sugar Research Institute, management held 52 meetings with farmers to communicate policy, good farm management practices and promote the adoption of early maturing sugarcane varieties.

Management revamped the customer care function domiciled in the Outgrower Development Section as the first point of contact for farmer inquiries. This function handled over 300 farmer related queries per day. To further enhance this engagement a dedicated hotline has been set up in the managing directors office.

Kisoko and Bumula cane buying centres (CBCs) operated throughout the year with 28,261 tons and 9,748 tons of cane received through the CBCs respectively. One additional CBC at Navakholo in Eastern zone is about to be commissioned. The establishment of CBCs is aimed at reducing cane transport costs to farmers, expanding the cane catchment area and hastening delivery of cane to the factory using high payload units (HPUs).

Factory performance

Factory performance was adversely affected by cane shortage during the year. On 10th April 2017 the plant was shut down to undertake annual maintenance and allow maturation of existing crop and revamping of Agriculture. Cane processed dropped by 66% to 407,008.44 MT from 1,215,566 MT done in the previous year. Consequently, a lower production of 15,890.78 MT of sugar was achieved compared to 75,072.86 MT produced the previous year, thereby posting low rendement. Considerable amount of maintenance work was accomplished during the closure but some other critical maintenance activities will be undertaken as finances become available.



The Ethanol plant produced 6.9 million litres of ENA which was a 44% drop compared to 12.4 million litres produced the previous financial year. The distillery capacity utilization was low as it largely relied on raw material supply from the sugar plant but the percentage was slightly better due to some additional molasses imported during the year.

Cogeneration was used only for internal power supplementation. Power export was not undertaken due to the shortage of cane and unresolved dispute with KPLC. Generators rented from AGGREKO were

the sole source of standby power until early June 2017 when the contract expired and the machines were decommissioned. KPLC was then reconnected on 11th June 2017 after successful negotiations. The water bottling plant remained closed since May 2016 as the company reconsidered alternative plant utilization options. A cost benefit analysis of the options is being carried out and a desirable strategy will be implemented going forward.

Market operations

Local sugar market in Kenya is currently confronted with a myriad of challenges, among which is intense competition from imported sugar. The increase in sugar imports is ascribed to amplified shortfall ostensibly due to low local sugar production.

At the beginning of 2017, the month average ex-factory sugar price was Shs 5,398 per 50kg bag which reduced to an average of Shs 5,065 in February 2017. Thereafter, the prices embarked on an upward trend in the subsequent months to attain a maximum average of Shs 7,292 per 50kg bag in May 2017. However, the increasing trend was unsustainable due to improved supply of sugar in the local market following gazettement of duty free sugar imports on 12th May 2017 (Gazette Notice No. 4536), causing the prices to drop to a range of Shs 4,000 - 5,400 and a monthly average of Shs 4,663 in June 2017.

The Company achieved a slightly higher average net selling price of Shs 81,329 per tonne of sugar compared to Shs 67,923 per tonne in the previous period representing an increase of 19.7%.

Ethanol Sales

A total of 7,426,167 litres of ethanol was sold during the financial year representing a drop of 37% from the previous year's volume of 11,835,658 litres. Most ethanol sales were to local customers in the region compared to the previous year where majority of sales were exports.

Corporate social responsibility

During the year, MSC through Mumias Sugar Foundation conducted medical camps in collaboration with Ministry of Public Health & Sanitation on Polio Campaigns, Treated Mosquito Net issuance, Eye clinics among others. Through these camps, medical practitioners raised awareness on the various medical issues affecting both the staff and the community. The camps also helped link communities to health care providers and promoted hygiene and sanitation within and around the communities.



MSF in collaboration with GIZ (a German NGO), Bukura Agriculture Training Centre and ILRI trained a total of 1,146 farmers from 31 sugarcane dairy farmer groups and 8 MSC staff on improved dairy value chain technology, sugarcane husbandry and good cane management. Through this training partnership, farmers have been able to acquire and equip themselves with entrepreneurship skills and now view cane farming as an opportunity for increased income through new venture in dairy farming.

The importance of an everyday clean and healthy environment cannot be over-emphasized. MSC has collaborated with other partners and provided support in planting of 1,860 indigenous tree seedlings in its golf course and around the schools surrounding the factory.

MSC has continued to ensure the stability of the community within which it operates by responding whenever calamities befall the community. The company through the Foundation has worked closely with local administration to build and promote resilience capacity in Disaster Risk Prevention, Preparedness and Recovery. The teams have collaborated with other partners such as Red Cross Society to enforce first line response in case of disaster occurrences within the community by being provided with lists and contacts of service providers like ambulances, fire engines, hospitals, Kenya Police Service and Red Cross Society. The company's ambulance and fire engine have also supported in cases of fire and road traffic accidents within the region.



Human capital investment

The company's Human Resource focuss remains to be "positioning MSC as an employer of choice in Kenya while complying with the Labour Laws, Industrial Relations Charter and the Constitution of Kenya 2010". The recovery strategy envisaged a reduction of 100 persons from the workforce over the period, however during the financial year the reduction reached about 200 persons achieved through natural attrition. Moving forward, we shall continue reviewing the employee skills set and injecting any lacking skills to support our core activities.

Revision of the organization structure is underway as the company adopts new business strategy. The company's human resource department has responded to the changing business environment to sustain harmonious industrial relations. Management is proud of the workforce that has exhibited great commitment, concern and goodwill towards the company and remained focussed despite the challenges the company faced.

The company values talent and appropriate skills within its workforce and has partnered with reputable learning institutions in nurturing talents and acquisition of various skills necessary in different professional fields. Commitment in this regard remained strong thus increasing the efficiency and productivity of the workforce. The strategy and approach to Talent Management and Development is being reviewed amidst financial constraints to help cope effectively with the demand to fit talent in the business. During the year under review, expenditure on training and development was focused on meeting statutory requirements and was funded through a revolving fund earlier instituted for adoption of new skills.

The relationship between Management and the Union remained harmonious with the usual consultations on the Collective Bargaining Agreement (CBA) and welfare matters maintained. Discipline across the

Company improved. Though the CBA 2013/2015 expired on 30th April 2015 the negotiation of a new one has been mutually put in abeyance given the financial constraints the company faced during the year.

Litigation, dispute resolution and compliance with laws

The company's Legal Unit focused on cost cutting measures in a bid to mitigate cases affecting the company. It saw most of the cases resolved through negotiation and mediation process. It is also exploring options of resolving the MOCO/MSK case out of court while ensuring that the interests of all parties and stakeholders involved are fairly taken into account.

Internal legal compliance environment has continuously been evaluated in order to mitigate against any legal exposures in a timely manner. To understand and manage legal risks and compliance, a Legal Risk Audit was instituted in 2016.

The Company complied with laws legislated at county and national levels. Internal legal compliance unit has renewed its forefront role in efforts to mitigate any legal exposures in a timely manner.

Risk and Compliance

The Risk and Compliance unit has been successfully established with requisite policies, charters and manuals providing guiding principles for running its operations. It has strengthened internal controls in many areas of the organization, including private cane procurement and Farmer Payments Processes. The unit designed a GIS based Quality Management System meant to seal most of the gaps identified in the Agriculture process. It has also endeavoured to ensure data integrity in the AMS and that

farmers in need of company services sign seed cane and pre-harvest debit notes on time to preclude unsupported surcharge.



Information Communication and Technology

Information Communication and Technology continues to play a key role in the Company's operations and value chain management. During the period, we continued with transformation of implemented ICTs to support the company's corporate objectives and implemented an effective ICT Governance framework to better align ICTs with the company's corporate strategy.

In order for MSC to sustain the competitive advantage, in the coming period, there are on-going efforts to operationalize the ICT security framework and sustain continuous collaboration with stakeholders to improve existing ICTs, mitigate information security incidents and exploit opportunities for improvements and cost control.

Safety, Health and Environment

The company has continued to put strong emphasis on Safety, Health and Environment issues.

There was no workplace fatality for the period under review. However, one employee collapsed while walking on the walkway towards the main gate and was pronounced dead on arrival to the medical Centre. Overall employee Lost Time Injury Frequency Rate (LTIFR) per 100,000 Man hours worked for the period under review reduced to 0.18 from 0.23 reported in 2015/16 financial year. Cane cutters reported a reduced total of 730 minor accidents during the period under review compared to 1,851 accidents reported in 2015/2016 financial year.



Liquid and solid waste management processes were in place throughout the year and any wayward parameters received appropriate attention. Ethanol waste streams directed into the sugar effluent ponds and accumulated sludge deposits were given special attention. The possibility of re-circulating all Vinasse and waste water streams into the main Industrial Effluent Pond in Artisan is being explored to avoid pollution discharge into the environment. Continual investigations and remedial actions are being undertaken.

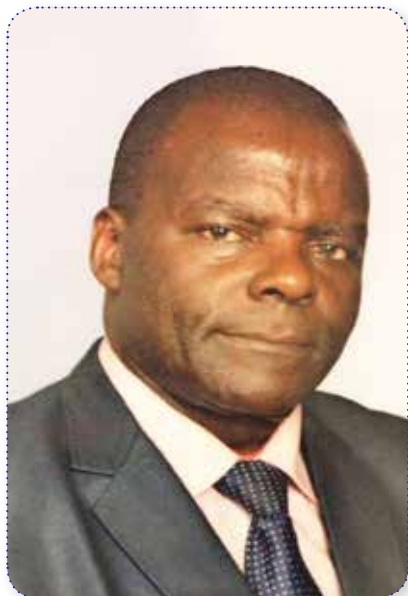
Appreciation

I am indeed grateful to all stakeholders who have made the company remain on track despite the challenges. The bailout received and support guarantee by the Government has been key to our operations. The Board of Directors and employees of the Company have also played their respective roles. We extend our gratitude to our customers, farmers, other suppliers and financiers for their contribution to the continued pursuit of the mission of the Company. We are now rolling up our sleeves as we step up efforts to put Mumias Sugar Company on a rebound path.

Nashon Aseka
Chief Executive Officer



RIPOTI YA AFISA MKUU



NASHON ASEKA
Chief Executive Officer

na tani 223,876 asilimia 53 mtawalia. Kiwango kidogo cha mvua eneo hili na uwekaji mbolea isiyotosha ulipungua kiwango cha wastani cha mavuno mpaka 32TCH kutoka 45.03 TCH ilivyokuwa mwaka tanguzizi.

Shughuli za maendeleo ya miwa zilikuwa chini kwa vile heka 3,619 ndizo zilizopandwa kinyume na makadirio ya 6,000 (ha). Eneo lililopandwa kwa Nucleus ni 1185 ha ilhali 2434 ha zilipandwa katika mashamba ya wakulima wa nje. Kampuni ilianza uenezaji wa matumaini kwa aina mpya ya miwa FR 95-2345 yenye muda mfupi wa kukomaa.

Mwakani, Kampuni iliathirika kwa kupata hasara ya shilingi 6.8 bilioni baada ya kutoa ushuru, ikilinganishwa na shilingi 4.8 bilioni mwaka uliotangulia. Hii inawakilisha asilimia 41% ongezeko la hasara ya Kampuni katika nafasi yake ya hasara.

SHUGHULI ZA KILIMO

Changamoto kuu iliyokumba Kampuni katika mwaka huu wote ni uhaba mkubwa wa miwa ulioshuhudia katika eneo hili. Jumla ya kiasi cha miwa iliyopokelewa katika kiwanda ni tani 419, 147, kupungua kwa asilimia sitini na tano (65) ikilinganishwa na tani 1,210,164 zilizopokelewa mwaka uliotangulia.

Nucleus ilitoa tani 48,434 ambayo ni asilimia 12 ya hii miwa nao wakulima wa nje wa mkataba na wale wakibinafsi walisambaza tani 146,837, asilimia 35



KUSHIRIKISHWA KWA MKULIMA

Kwa ushirikiano na taasisi ya utafiti wa sukari, Wasimamizi walifanya mikutano 52 na wakulima kuwaeleza sera, mbinu mwafaka za usimamizi wa mashamba na kukuza kukubalika kwa aina za miwa inayokomaa mapema. Usimamizi uliimarisha kazi ya huduma ya mteja katika eneo la nje kama hatua ya kwanza ya maswali ya mkulima. Huduma hii ilishughulikia zaidi ya maswali ya wakulima 300 kila siku. Ili kuimarisha ushiriki huu, nambari ya simu ya wazi imehifadhiwa katika ofisi ya mkurugenzi msimamizi mkuu.

Vituo vya kununua miwa vya Kisoko na Bumula (CBCs) viliendeshwa mwaka mzima huku tani 28261 na tani 9748 za miwa zikipokelewa kupitia vituo hivi mtawalia. Kituo kingine kilichoongezwa cha Navakholo katika eneo la mashariki kitaanzishwa karibuni. Kuanzishwa kwa vituo hivi kunalenga kupunguza mkulima gharama ya usafirishaji miwa, kupanua eneo la ufikiaji miwa na kuharakisha kufikishwa kwa miwa kiwandani kutumia vitengo vya juu vya malipo (HPUs).

UTENDAKAZI WA KIWANDA

Mwakani, utendakazi wa kiwanda uliathirika pakubwa kwa uhaba wa miwa na hatimaye kufungwa tarehe 10 Aprili, 2017. Lengo lilikuwa kupindua kilimo, kuruhusu kukomaa kwa miwa na kutengenezwa kwa kiwanda kwa kila mwaka. Kiwango cha miwa iliyosagwa kilipungua kwa asilimia 66% mpaka 407,008.44 MT ikilinganishwa na 1,215,566 MT mwaka uliotangulia. Kwa hivyo utoaji wa kiwango cha chini cha sukari cha 15890.78 MT ikilinganishwa na 75072.86 MT iliyotolewa mwaka uliotangulia. Hii ilisababisha utendakazi mbaya zaidi na mavuno ya chini zaidi kushuhudiwa kwa mwongo uliopita. Marekebisho ya hapa na pale yalifanyika wakati wa kufungwa na tulipoanza tena, tumepanga kushughulikia marekebisho Fulani muhimu ya kishughuli tunapopata pesa.

Tawi la ethanol lilitoa lita milioni 6.9 ya ENA ambayo ilikuwa kupungua kwa asilimia 44% ikilinganishwa na lita milioni 12.4 zilizotolewa mwaka uliotangulia.

RIPOTI YA AFISA MKUU (KUENDELEA)

Utengenezaji ulitegemea pakubwa tawi la sukari hivyo basi kurekodi uwezo wa chini sana wa matumizi kwa sababu ya ukosefu wa molasses.

Uzalishaji umeme (cogeneration) ilitumika kwa kuongezea MSC kwa vile mauzo ya nje hayakuzingatiwa kwa sababu ya uhaba wa miwa. Nguvu za kukodisha kutoka mashine ya AGGREKO ndiyo iliyokuwa njia ya pekee ya kutoa nguvu mpaka mwezi Juni wakati kandarasi hiyo ilipotamatika na mashine hiyo kuondolewa. KPLC ililinganishwa tena tarehe 11 Juni, 2017 baada ya mazungumzo ya mafanikio.

Tawi la maji ya chupa lilisalia limefungwa kuanzia mwezi Mei 2016 kwa vile Kampuni ilifanya uchambuzi kwa namna mwafaka ya kuendelea tawi hili. Zoezi la kubaini gharama na faida linafanyika na mkakati mwafaka utatekezwa tunapoendelea mbeleni.

SHUGHULI ZA SOKONI

Sekta ya sukari nchini Kenya wakati huu inakumbwa na changamoto nyingi, miongoni mwao ikiwa ushindani kutoka kwa sukari inayoingizwa kutoka nchi za nje. Kuongezeka kwa sukari kutoka nchi za nje kumehusishwa na kupungua pakubwa kwa sukari inayozalishwa nchini.

Mwanzoni mwa mwaka wa 2017, bei ya wastani katika mwezi wa sukari ulikuwa shilingi 5,398 kwa mfuko wa kilo 50 ambayo ilipungua hadi wastani shilingi 5,065 mwezi Feburari 2017. Baada ya hapo, bei ilirejelea kuongezeka kila mwezi hadi kiwango cha juu zaidi cha bei ya wastani ya shilingi 7292 kwa kila mfuko wa kilo 50 mwezi Mei, 2017.

Hata hivyo, mwenendo huu wa kuongezeka haungeweza kudumu kutokana na kuongezeka kwa sukari sokoni kufuatia kuchapishwa kwa tangazo kwenye gazeti lililoondoa ushuru kwa sukari kutoka nchi za nje tarehe 12 Mei, 2017 (Gazette Notice No. 4536) hivyo kusababisha bei kupungua kati ya shilingi 4,000/= - 5,400/= na shilingi 4,663/= bei ya wastani mwezi wa Juni, 2017.

Kampuni iliafikia mafanikio ya juu ya kiwango cha wastani cha bei ya mauzo cha shilingi 81,329/ kwa kila tani ya

sukari ikilinganishwa na shilingi 67,923/= kwa kila tani mwaka uliotangulia, hii ikiwakilisha ongezeko la asilimia 19.7.

MAUZO YA ETHANI

Jumla ya lita 7,426,167 za ethanol ziliuzwa mwakani ambapo ni kupungua kwa asilimia 37% kulinganisha na mwaka uliotangulia ambapo lita 11,835,658 ziliuzwa. Mauzo mengi ya ethanol yalikuwa kwa wateja wa ndani ya nchi kulinganishwa na mwaka uliotangulia ambapo mauzo mengi yalikuwa nje ya nchi.

MAJUKUMU YA SHIRIKA LA KIJAMII

Mwakani Kampuni ya sukari ya Mumias (MSC) kupitia wakfu wa sukari ya Mumias (Mumias Sugar Foundation – MSF) waliendesha kambi za matibabu wakishirikiana na wizara ya Afya ya Umma na Usafi kuhusu Kampuni dhidi ya polio, kupeana neti za mbu zilizotibiwa, Kiliniki za macho na huduma nyinginezo. Kupitia kambi hizi, wataalamu wa matibabu waliwafahamisha watu maswala mbali mbali ya kimatibabu yanayoathiri wafanyikazi na jamii. Kambi pia zilitumika kuunganisha jamii na wanaotoa huduma za afya na kukuza usafi na usafi wa mazingira ndani na karibu na jamii hizi.

Mumias Sugar Foundation MSF ikishirikiana na shirika lisilo la kiserikali la German GIZ (a German NGO), Bukura Agriculture Training Centre na ILRI waliwafundisha jumla ya wakulima 1146 kutoka makundi 31 ya wakulima wa maziwa eneo la wakuzamiwa na wafanyikazi nane (8) kutoka Kampuni ya Sukari ya Mumias kuhusu kuboresha teknolojia ya thamani ya maziwa, ukuzaji wa miwa na utunzaji bora wa miwa. Kupitia ushirikiano huu wa mafundisho, wakulima wameweza kupata na kujiandaa kwa ujuzi wa ujasiriamali kwa kuangazia upanzi wa miwa kama mradi mpya ambapo wametambua fursa ya kuongeza mapato kupitia upanzi wa miwa na kilimo cha maziwa.

Umuhimu wa usafi wa kila siku na mazingira mazuri hauwezi kusitizwa zaidi. MSC imeshirikiana na washirika wengine





kuhakikisha inasaidia kupanda miche 1860 ya miti asilia katika shule zinazozingira kiwanda na uwanja wa golf.

MSC imeendelea kuhakikisha utulivu wa jamii ambamo inafanya kazi kwa kusimama na jamii wakati wa misiba. Kampuni hii kupitia wakfu imefanya kazi kwa karibu na utawala wa jamii ili kujenga na kukuza uwezo wa ujasiri wa kuzuia hatari, utayarishaji na kupona. Timu hizi zimeshirikiana na washirika wengine kama vile jamii ya Msalaba Mwekundu, kutekeleza kuunganishwa kwa huduma za kushughulika kwa haraka kwa mikasa inapotokea katika jamii kupewa orodha na nambari za simu za watoa huduma kama ambulensi, injini za moto, hospitali, huduma za polisi na Msalaba Mwekundu. Ambulensi ya Kampuni na Injini za Moto pia zimesaidia kunapotokea moto na ajali za barabarani katika eneo hili.

UWEKEZAJI KATIKA WAFANYIKAZI

Utabiri wa rasilimali za kibinadamu wa Kampuni umeshikilia MSC kama mwajiri bora nchini Kenya akizingatia sheria za kazi, mkataba wa mahusiano ya viwanda, na katiba ya Kenya ya mwaka 2010. Mkakati wa kurejesha Kampuni ulitarajia kupunguza wafanyikazi 100 katika kipindi hicho. Hata hivyo katika kipindi hiki waliopungua walifikia 200 kupitia kustaafu kwa sababu asilia. Kuendelea mbele, tutaendelea kukagua ujuzi wa wafanyikazi na kuongeza ujuzi ambao hawana ili kusaidia shughuli zetu muhimu za kutengeneza sukari na pombe.

Katika mwaka huu uratibu wa muundo wa shirika ulikuwa unaendelea ndiposa Kampuni ilipitisha mkakati wa biashara. Rasilimali ya binadamu ya Kampuni iliitikia mabadiliko katika mazingira ya kibishiara kwa kuendelea kusaidia na kusawazisha mahusiano ya viwanda. Usimamizi unajivunia kujitolea kwa wafanyikazi ambao umeonyesha wasiwasi mkubwa kuwepo kwa uzuri wa Kampuni, kubaki na malengo licha ya changamoto zinazokumba Kampuni. Mkakati na mbinu ya kutoa vipaji vya usimamizi na maendeleo inapitiwa licha ya vikwazo vya kifedha ili kusaidia kuishikilia kwa ufanisi mahitaji ya vipaji katika biashara. Kampuni inathamini vipaji na ujuzi mwafaka ndani mwa wafanyikazi wake hivyo basi kuungana na taasisi za kutoa mafunzo ili kukuza vipaji na ujuzi muhimu katika Nyanja

mbalimbali za utaalum. Kujitolea katika mtazamo huu kulibaki kwenye nguvu hivyo basi kuongezeka kwa ufanisi na uzalishaji wa wafanyikazi. Katika mwaka huu matumizi ya hela kwa mafunzo na maendeleo yalizingatia kutimiza mahitaji ya kisheria na kuandaliwa kwa ujuzi mpya ni yale yalizingatiwa.

Uhusiano baina ya usimamizi na muungano wa wafanyikazi ulisalia wa kufana na kwa mashauriano kuhusu mkataba wa makubaliano (CBA) na maswala ya ustawi kuhifadhiwa. Nidhamu katika Kampuni iliimarika. Mkataba wa makubaliano (CBA) wa 2013/2015 ulikamilika tarehe 30 Aprili, 2015, mashauriano ya mkataba mwingine mpya umeasiwa kwa sababu ya vikwazo vya kifedha vilivyokumba Kampuni mwakani.

MADAI UTATUZI WA MIGOGORO NA KUFUATA SHERIA

Kitengo cha kisheria cha Kampuni kiliangazia kupunguza gharama kwa kupambana na kupunguza kesi zinazoathiri Kampuni. Kitengo hicho kilihakikisha kesi nyingi zimetatuliwa kupitia mazungumzo na mchakato wa upatanishi. Pia kinachunguza chaguo la kutatua kesi ya MOCO/MSK nje ya korti huku kikihakikisha kuwa maslahi ya kila wahusika wote na wadau yameshughulikiwa kwa usawa na yamezingatiwa. Mazingira ya ndani ya kufuata sheria yameendelea kutathminiwa ili kupunguza kutolewa nje kwa maswala ya kisheria kwa wakati ufaao. Ili kuelewa na kusimamia hatari za kisheria na kuzifuata, ukaguzi wa hatari za kisheria ulianzishwa.



Kampuni ilifuata sheria zote zilizoundwa katika kiwango cha kaunti na hata kitaifa. Kitengo cha ufuataji wa sheria za ndani kimekuwa mstari wa mbele kupunguza kutoka nje kwa maswala ya kisheria kwa wakati unaofaa.

HATARI NA UFUATILIAJI

Sehemu hii imekuwa yenye mafanikio kwa Kampuni kwa kuendelea sera zinazohitajika, mikataba na miongozo kama kanuni za kuongoza katika shughuli zake. Sehemu hii imeimarisha udhibiti wa ndani katika maeneo mengi ya shirika na maeneo mengine ya uzalishaji nje ya Mumias na mchakato wa kulipa wakulima (SLAs) ambayo yanalengwa kuimarisha ubora wa mchakato mzima na kufanywa kwa wakati. Kitengo kilipanga msingi wa mfumo wa usimamizi wa ubora wa kilimo GIS ambao ulikusudiwa kuziba mianya inayotambuliwa

RIPOTI YA AFISA MKUU (KUENDELEA)

katika mchakato wa kilimo na unajaribu kuhakikisha uaminifu katika deta ndani ya (AMS). Kadhalika umehakikisha kuwa mkulima anayehitaji huduma za Kampuni anatia sahihi mbegu ya miwa na huduma kabla ya kuvuna katika maelezo ya ukubaliwaji kwa wakati na wakulima wakweli na marejesho yanafanywa.

TEKNOLOJIA YA HABARI NA MAWASILIANO

Teknolojia ya habari na mawasiliano inaendelea kutekeleza jukumu muhimu katika uendeshaji na usimamizi wa mzururu wa shughuli. Katika kipindi hiki tuliendelea na mabadiliko yaliyotekelezwa ya ICTs kusaidia Kampuni kushiriki malengo na kutekeleza usimamizi wenye mfumo wa ICT ili kuunganisha ICTs na ushirikiano katika mkakati wa Kampuni.

Ili MSC kuendelea na ushindani wa kifaida kipindi kijacho, kuna juhudi zinazoendelea ili kutumia mfumo wa usalama wa kiteknolojia (ICT) na kuendelea kushirikiana na wadau kuboresha ICTs zilizopo ili kupunguza matukio ya usalama wa habari na kutumia nafasi hii kuleta maboresho na udhibiti wa gharama.

USALAMA, AFYA NA MAZINGIRA

Kampuni imeendelea kuweka msisitizo kwenye masuala ya usalama, afya na mazingira. Katika kipindi hiki hapakutokea ajali yoyote katika mahala pa kazi. Hata hivyo kuna mfanyikazi mmoja aliyezimia alipokuwa akitembea njiani kuelekea lango kuu na aliripotiwa kuaga alipofika katika kituo cha matibabu. Muda unaopotezwa katika kuumia ulipungua (LTIFR) kwa kila 100,000 masaa ya watu kufanya kazi ulikuwa 0.18 ikilinganishwa na 0.23

katika mwaka wa kifedha wa 2015/2016. Wakataji miwa waliripoti ajali 730 ndogo ndogo katika kipindi hiki ikilinganishwa na ajali 1851 zilizoripotiwa mwaka wa kifedha wa 2015/2016.

Mchakato wa kusimamia taka ya kioevu na imara uliwekwa na vigezo vyovyote vingine kushughulikiwa. Taka ya ethanol yalielekezwa kwenye mabwawa yanayomwagwa majivu yanayohusiana na sukari yakakusanyika na kushughulikiwa ipasavyo. Kuna kuchunguzwa kwa uwezekano wa kuzungusha tena taka katika mabwawa ya maji ya viwanda kule Artisan ili kuzuia uchafuzi wa mazingira. Kuna kuendelea kwa uchunguzi na marekebisho ya kivitendo yanaendelea.

SHUKRANI

Ningependa kuonyesha shukrani kwa wadau wote ambao wamefanya Kampuni kuendelea licha ya changamoto. Hela za kujimudu (bail out) na usaidizi kutoka kwa serikali imekuwa nguzo kuu ya shughuli zetu. Bodi ya wakurugenzi na wafanyikazi wa Kampuni nao wamefanya majukumu yao. Shukrani zetu pia kwa wateja, wakulima, wauzaji na wafadhili kwa mchango wao wa kuendeleza malengo ya Kampuni. Tunajizatiti sasa tayari kuhakikisha kurejelea kwa shughuli za kawaida za Kampuni ya sukari ya Mumias.



Nashon Aseka
Mkurugenzi Mkuu





CORPORATE SOCIAL RESPONSIBILITY

Overview

Since its inception in 2013; Mumias Sugar Foundation has spear headed the MSC's Corporate Social Responsibility CSR contributions by improvement in the five thematic areas of Education, Health and Sanitation, Entrepreneurship and Income Generation, Environment and in Disaster Risk Reduction and Recovery (DRR).

Achievements

Mumias Sugar Company values the role played by the community in the sustainability of the company's business environment and therefore invests in improving the well being of the people and environment. In particular it seeks to improve access to Education to gifted but economically challenged children within the MSC sugar scheme. Despite the constraints in the finances of the company, MSC through MSF has paid bursary fees amounting Ksh. 1,228,685 (One million, two hundred and twenty eight thousands six hundred and eighty five) for 120 needy bright children in the number of secondary schools in sugar cane scheme as at 2017. Elimu Trust on the other hand sponsored 10 bright students from the farming community and 10 students from MSC staff respectively into form one at Booker Academy for a four year education program.

Good health workers and production go hand in hand. This is the reason the health of the staff, their families and community has remained a strong pillar for MSC. The company has continued to invest and provide quality health care and Sanitation in her Maternal Child Health (MCH) and within the sugarcane health facilities.

During the year 2017, MSC through Mumias Sugar Foundation conducted medical camps in collaboration with Ministry of Public Health & Sanitation on Polio Campaigns, Treated

Mosquito net issuance, Eye clinics among others. Through these camps, medical practitioners raise awareness of the various medical issues affecting both the staff and the community. The camps also help to link communities to health care providers and promote hygiene and sanitation within and around the communities.

MSF in collaboration with GIZ (a German NGO), Bukura Agriculture Training Centre and ILRI trained a total of 1146 farmers from 31 sugarcane dairy farmers groups and 8 MSC staff on improved dairy value chain technology, sugarcane husbandry and good cane management. Through this partnership training, farmers have been able to acquire and equip themselves with entrepreneurship skill by looking at cane farming as a new venture creation process where they have identified opportunities of increasing income through cane and dairy farming.

The importance of an everyday clean and healthy environment cannot be over-emphasized. MSC has collaborated with other partners to ensure it provides support in planting of 1860 indigenous tree seedlings around the schools surrounding the factory and its golf course.

MSC has continued to ensure the stability of the community within which it operates by standing with the communities whenever calamities befall. The company through the foundation has worked closely with the community administration to build and promote resilience capacity in Disaster Risk Prevention, Preparedness and Recovery. The teams have collaborated with other partners such as Red Cross Society to enforce first line response in-case of disaster occurrences within the community by being provided with lists and conducts of service providers like ambulances, fire engines, hospitals, Kenya police service and Red Cross Society. The company ambulance and fire engine have also supported in cases of fire and road traffic accidents within the region.



CORPORATE GOVERNANCE STATEMENT

Mumias sugar company limited affirms its commitment to upholding high standards of corporate governance designed to protect the interests of shareholders and all stakeholders. The objective of the company's governance framework is to ensure compliance with legislative and regulatory requirements including the Capital Markets Securities, Public Offers, listing and Disclosure regulations 2002 and Capital Markets Authorities (CMA) guidelines on corporate governance practices by publicly listed companies.

The Board recognizes that compliance is a continuous process and has taken measures to ensure the company maintains or pursues the required threshold of compliance to best corporate governance principles.

Board of Directors

The Board provides leadership of the company within a framework that upholds the core values underpinning good corporate governance. There exists a formal procedure to the appointment of directors. Key elements such as conflict of interest and multiple directorships are considered during this exercise pursuant to the provisions of the CMA guidelines.

The Board's core role is to provide strategic direction to the company in order to ensure business sustainability and continuity. Towards this end, the Company has consistently formulated successive 5 year strategic plans and is currently implementing the 2017-2022 strategic plan. In pursuit of ethical corporate culture, the Board has ensured the company builds and sustains a corporate culture comprising ethical business practices, transparency and accountability.

Board Composition

The Board believes that to achieve good corporate governance, there is need for strong presence of non-executive directors in the Board. The non-executive directors exercise independent judgement on board deliberations. During the period under review, the Board had eleven directors all of whom were non-executive directors. The Board membership reflected the company's board shareholding structure with no representation bias with regard to majority and minority

shareholders. The Chief Executive Officer attended the board meetings in his capacity as CEO.

The Board Chairman has the overall responsibility of leading the Board. He oversees the operations and effectiveness of the board and ensures that he Board's discussions are conducted in a manner that promotes open participation.

The roles and responsibilities of the Chairman and Chief Executive Officer are separate. At all times during the period under review the two positions were held by different persons both of whom continued to enjoy cordial relationship.

Board Committee

The Board has in place five principal committees to ensure effective discharge of its duties. These operate within well-defined terms of reference which are reviewed regularly to ensure compliance with requirements as well as relevance to business strategy. The committees report to the Board on all duties assigned. During the period under review the committees in place included the Board Human Resources & Nomination Committee, Board Agriculture, Technical and Operations Committee, Board Risk Audit and Compliance Committee, Board Procurement Tender and Assets Disposal Committee, Board Finance and Strategy Committee. The membership was as indicated in this report.

Board meetings

The Board discharges its responsibilities through regular scheduled meetings and additionally through ad hoc meetings as and when need arises. the various committees also meet in the year to discuss various issues relating to the company. The time, date, venue and agenda of the meetings are communicated in advance. Attendance of the full Board and Committee meetings for the year are set out below:





CORPORATE GOVERNANCE STATEMENT (CONTINUED)

DIRECTOR	BOARD	BRACC	BFSC	BHRNC	BATPC	BPAC	AD HOC
Meetings	21	11	9	12	2	2	14
Dan Ameyo	6	n/a	n/a	1	n/a	n/a	2
Elizabeth Kyengo	6	3	n/a	n/a	n/a	n/a	n/a
Festus Kingori	17	2	8	8	n/a	n/a	1
James Mathenge	15	4	9	n/a	n/a	n/a	1
James Opindi	8	n/a	6	n/a	1	n/a	n/a
Joan Tabuke	20	7	n/a	10	1	n/a	n/a
John Barorot	3	n/a	n/a	n/a	n/a	n/a	n/a
Kennedy Ngumbau	18	3	2	n/a	n/a	n/a	1
Nancy Kaminchia	19	3	n/a	4	n/a	n/a	2
Naomi Cidi	21	n/a	n/a	11	n/a	2	8
Nelson Orgut	9	n/a	n/a	n/a	1	1	1
Patricia Adala	9	3	1	n/a	n/a	n/a	1
Peter Ingosi	14	n/a	n/a	4	n/a	1	4

Governance Stakeholders Relationships

The Company and the Board are committed to maintaining constructive relationships with stakeholders and have endeavoured to keep open, communication with all stakeholders.

Annual Reports and Accounts

The company announces its financial results twice a year, through interim and annual reports. Annual reports announced at the end of every financial year provide balanced and clear assessment of the Company's performance and prospects. They are represented in line with International Financial Reporting Standards as well as applicable statutory requirements.

Governance of Risk

Risk management

The board recognizes its responsibility to maintain a sound risk management and internal control system in order to safeguard the shareholders' investment and the Company's investment assets. The Board has continually worked towards ensuring that risks are fully understood and managed. The Company's Enterprise Risk Management framework establishes structured risk management processes aimed at ensuring that employees are aware of the risk factors facing the organization. The Company

also has in place a well thought out business continuity plan which will be reviewed continually with the aim of reducing the impact of some of the identical risks.

Control Environment

The company has identified the various processes that comprise its value chain. The processes are supported by well documented procedures across the organization. The efficiency and effectiveness of internal controls is tested through periodic audits conducted by an internal audit function. Management and Board are of the view that isolated cases of breach on internal control system cannot be avoided completely but will strive to continuously improve on the control environment.



Compliance with Laws and Regulations

The Board has continuously ensured that the Company complies with applicable laws, rules and regulations including non-binding national and international standards. The company has established, within its quality policy, a Compliance Policy with legal compliance as a requirement as well as a Compliance Manual to guide this process. This is necessary in view of the fact that the business environment has become dynamic with new operating challenges, advancement in technology and continuous changes in laws and regulations. The compliance culture focuses on establishing and communicating compliance responsibilities; and incorporating responsibilities for meeting legal requirements into business processes.

REPORT OF THE DIRECTORS

The directors submit their report together with the audited financial statements for the year ended 30th June 2017.

Incorporation

The company is domiciled in Kenya where it is incorporated as a private company limited by shares under the Kenyan Companies Act, 2015. The address of the registered office is set out on page 3.

Directorate

The directors who held office during the year and to the date of this report are set out on page 1.

Principal activities

The principal activities of the company are the production and sale of sugar and ethanol, and the generation and sale of electricity.

Dividends

The directors do not recommend the declaration of a dividend for the year.

Business review

During the year, the Company operated at a lower than optimum factory capacity utilization due to acute shortage of sugar cane. Sugar cane prices increased by 11% while the product prices remained relatively stable. To prevent further losses inherent to suboptimal operations, management made a conscious decision to stop milling operations in the last quarter of the year to focus on cane development activities and plant maintenance. This yielded fruit as the company recorded significant improvement in cane deliveries, factory reliability resulting to better efficiency on resumption of operations in October 2017.

To manage the gearing, no new loans were taken up during the year. Despite this, the company continues to be in a net current liability position mainly due to long term loans reclassified to current liabilities and additional provisions for legal liabilities. As a result the current ratio reduced from 0.18 to 0.11. However the board and management has responded with a carefully developed business strategy which includes amongst others initiation of the debt restructuring and standstill arrangement with the lenders.

Challenges

Western sugar belt continued to experience sugar cane shortage and unfair competition during the year causing the sugar and ethanol plants to operate below capacity. In addition, the sugar plant was not in a suitable state of repair most of the period due to lack of critical spares. This aggravated the cost of production and adversely impacted on performance efficiencies. The cogeneration and water bottling lines remained non-operational throughout the year. Cash flow constraints continued to affect the company's ability to discharge its financial commitments.

Risks and Uncertainties

The key risks facing the company are highlighted below:



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Cane supply - Competition for cane is likely to heighten with two new millers expected to commence operations within Mumias sugarcane catchment area. To mitigate this, management has embarked on an intensive rehabilitation of the Nucleus estate plantation, revised the farmer payment model and is in process of activating the third cane buying center situated at Navakholo. These measures are expected to attract and harness cane supply to MSC

Price fluctuations - Intermittent sugar imports, imminent expiry of COMESA safeguards and expired EU sugar quotas could depress market sugar prices. Management commissioned new Bosch packaging machine to increase the company's branding to bagging ratio earning a higher margin on sales. Conclusion of revised tariff negotiations with KPLC will increase incomes from cogeneration and enhance our diversified income portfolio.

Statement as to disclosure to the company's auditor

With respect to each director at the time this report was approved:

- (a) there is, so far as the person is aware, no relevant audit information of which the company's auditor is unaware; and
- (b) the person has taken all the steps that the person ought to have taken as a director so as to be aware of any relevant audit information and to establish that the company's auditor is aware of that information.

Terms of appointment of the auditor

The directors approve the annual audit engagement contract which sets out the terms of the auditor's appointment and the related fees. The agreed auditor's remuneration of Shs 5,000,000 has been charged to profit or loss in the year.

By order of the board

.....
Director

Nairobi, 29th November, 2017

DIRECTORS' REMUNERATION REPORT

Section 1- Not subject to audit

This report is made pursuant to the requirements of the Companies (General) (Amendment) (No2) Regulations, 2017

a) Decisions on directors' remuneration

No decision made during the year ended 30th June 2017 affected directors' entitlements. There were therefore no changes in the directors' remuneration during the year.

b) Company policy on directors' remuneration

The Company has not developed share based compensation schemes. Neither does it operate any incentive scheme for directors.

Company directors are entitled to basic annual fees and sitting allowance for each Board meeting and/or official Company function attended. In addition, at the expiry of the directors' term of service, they are entitled to a fixed gratuity. The Chairman is paid a monthly allowance. Directors are entitled to Company transport when attending Board meetings or Company functions outside their regular areas of residence. A director who for any reason is forced to use his/her on private vehicle is entitled to mileage claim.

These are payable at the following rates:

Title	Monthly Allowance (Shs)	Director's Fees p.a. (Shs)	Allowance per Sitting (Shs)	Mileage Claim per KM (Shs)
Board Chairman	500,000	600,000	78,571	92
Committee Chairman	-	500,000	68,571	92
Director	-	500,000	57,143	92
National Treasury	-	500,000	-	-

c) General terms of service

Directors serve a 3-year term of service from the date they are elected into office. They are eligible for re-election for one second term of 3 years. A director that leaves service before expiry of his/her term is entitled to payment due up to and including the date of resigning. However, if terminated by a resolution of members, is entitled to payments due to date plus directors' fees payable till expiry of his/her current term.



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Section 2- Information subject to audit

Directors remuneration paid during the Year

Director's Name	Fees and allowances as at 30th June 2017	Fees and allowances as at 30th June 2016
	Shs	Shs
Mr D Ameyo	4,807,139	4,181,423
Mrs. E. Kyengo	1,048,571	1,027,142
Mr F Kingori	2,057,148	742,859
Mr J Mathenge	2,271,427	1,024,285
Mr J Opindi	1,311,430	1,188,568
Mrs J Tabuke	2,557,148	1,539,900
Mr J K Barorot	671,429	1,134,032
Dr K Ngumbau	5,714,287	228,572
Mrs N Kaminchia	2,100,004	898,571
Ms Naomi Cidi	3,071,426	478,428
Mr N K Orgut	754,287	-
Mrs P Adala	834,286	-
Mr P K Ingosi	1,257,146	-
Total	28,455,728	12,443,780

By order of the board

Director

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Kenyan Companies Act, 2015 requires the directors to prepare financial statements for each financial year that give a true and fair view of the financial position of the company as at the end of the financial year and of its profit or loss for that year. It also requires the directors to ensure that the company keeps proper accounting records that: (a) show and explain the transactions of the company; (b) disclose, with reasonable accuracy, the financial position of the company; and (c) enable the directors to ensure that every financial statement required to be prepared complies with the requirements of the Companies Act, 2015.

The directors accept responsibility for the preparation and presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015. They also accept responsibility for:

- i) designing, implementing and maintaining such internal control as they determine necessary to enable the presentation of financial statements that are free from material misstatement, whether due to fraud or error;
- ii) selecting suitable accounting policies and applying them consistently; and
- iii) making accounting estimates and judgements that are reasonable in the circumstances.

Having made an assessment of the company's ability to continue as a going concern, the directors believe that the going concern basis is appropriate in preparing the financial statements for the year ended 30th June 2017. The assessment is based on the continued support by the Government of Kenya and the lenders, and the successful achievement of the turnaround of the company operations as stated in Note 30.

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibilities.

Approved by the board of directors on 29th November, 2017 and signed on its behalf by:



.....
Director



.....
Director

We have audited the accompanying financial statements of Mumias Sugar Company Limited, set out on pages 36 to 86, which comprise the balance sheet as at 30th June 2017, the statement of profit or loss account and other comprehensive income, the statements of changes in equity and cash flows for the year then ended, and notes, including a summary of significant accounting policies.

In our opinion the accompanying financial statements give a true and fair view of the financial position of the company as at 30th June 2017 and of its financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirement of the Kenyan Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Kenya, and we have fulfilled our ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of matter

We draw attention to:

Note 30 of the financial statements which explains that the company's financial statements have been prepared on a going concern basis on the assumption that the shareholders' and lenders will continue their support by providing adequate funding and that the turnaround strategy as approved by the board will be achieved. As stated in note 30, these events or conditions indicate that a material uncertainty exists that may cast significant doubt on the company's ability to continue as a going concern.

Note 17 of the financial statements which states that due to the current performance of the company, the directors have carried out an assessment of the impairment of property plant and equipment. However, this assessment is based on the successful achievement of the turnaround of the company's operations as stated in Note 30 and particularly on achievement of the key assumptions as stated in Note 17.

Our opinion is not qualified in respect of either of these matters.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How the matter was addressed
Going concern	The company's current liabilities exceed the current assets by Shs 15,160,954,000 as at 30th June 2017. Our procedures in this area included: - We obtained and reviewed management's plan of action that included details of future sales, expenses and a cash flow forecast. The period covered was twelve months to 30th November 2018. - Based on our understanding of the company and the assessed risks, we identified and discussed any matters that would cast doubt on the feasibility of the plan. - We reviewed management's estimate. Specifically we: a) evaluated the reliability of the data used to generate the forecast; b) checked the arithmetic accuracy of the information and computations; c) ensured that the information is internally consistent (that is, the entity can physically generate the products in the sales forecast); d) compared the forecast to actual prior period experience and assessed the reasonableness of the forecast.

Key audit matter	How the matter was addressed
Going concern (continued)	e) considered the forecasted cash generated/used in operations, debt repayments and other known cash requirements; and f) considered whether the assumptions used about the economy, interest rates, industry trends, costs, staffing, sales and general market conditions are reasonable. · Determined whether the nature/implications of the material uncertainty have been adequately disclosed in the financial statements and appropriately accounted for in accordance with the IFRS. · Reviewed letter of support obtained by the directors from the anchor shareholder, the Government of Kenya.
Impairment	During the year, due to the poor performance of the company, the directors have carried out a review to ascertain impairment in the carrying amount of plant and equipment. Based on the assessment, an impairment provision of Shs 2,336,904,000 has been recognised during the year in respect of the sugar and the co-generation plants. Our procedures in this area include: · We reviewed management's impairment workings. Specifically we: a) evaluated the reliability of the data used in the impairment assessment; b) checked the arithmetic accuracy of the information and computations; c) ensured that the information is internally consistent (that is, the entity can physically generate the products in the sales forecast); d) compared the forecast to actual prior period experience and actual production to date and assessed the reasonableness of the forecast; and e) considered whether the assumptions used in the assessment (Note 19) are reasonable."

Other information

The directors are responsible for the other information. Other information comprises the information included in the Annual Report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Directors' responsibility for the financial statements

The directors are responsible for the preparation and fair presentation of the financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, 2015, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control.
- obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control.
- evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of the auditor's report. However, future events or conditions may cause the company to cease to continue as a going concern.

· evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other matters prescribed by the Kenyan Companies Act, 2015

In our opinion,

- i) the information given in the report of the directors on pages 9 to 10 is consistent with the financial statements;
- ii) the auditable part of directors' remuneration report is in agreement with the company's accounting records.

The engagement partner responsible for the audit resulting in this independent auditor's report was FCPA Ashif Kassam, Practising Certificate No. 1126.

RSM Eastern Africa

Certified Public Accountants

Nairobi
29th November, 2017

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 30 JUNE 2017

		2017 Shs'000	2016 Shs'000
Revenue	5	2,091,751	6,285,917
Cost of sales		(5,279,897)	(8,048,406)
Gross loss		(3,188,146)	(1,762,489)
Fair value gain on biological assets	21	97,137	133,803
Other income		16,756	42,000
Marketing and distribution costs		(56,617)	(103,918)
Administrative expenses		(2,329,932)	(2,176,058)
Impairment of assets	6	(2,572,703)	(1,388,856)
Interest income	7 (a)	2,480	59,381
Finance costs	7 (b)	(1,500,153)	(874,382)
Loss before tax expense	8	(9,531,178)	(6,070,519)
Tax income	9	2,757,244	1,313,928
Loss for the year attributable to the owners of the company		(6,773,934)	(4,756,591)
Other comprehensive income			
Items that will not be reclassified subsequently to profit or loss:			
Surplus on revaluation of property, plant and equipment		-	8,829,860
Deferred tax relating to surplus on revaluation of property, plant and equipment		-	(2,648,958)
Remeasurement of defined benefit obligations	16 (b)	(42,071)	91,531
Deferred tax relating to remeasurement of defined benefit obligations		12,621	(27,459)
Other comprehensive (loss)/income for the year, net of tax		(29,450)	6,244,974
Total comprehensive (loss)/income for the year attributable to the owners of the company		(6,803,384)	1,488,383
Earnings per share		Shs	Shs
Loss per share - basic and diluted	10	(4.43)	(3.11)



STATEMENT OF FINANCIAL POSITION

As at 30 June 2017

			(Restated)	(Restated)
		2017	2016	2015
	Note	Shs'000	Shs'000	Shs'000
EQUITY				
Share capital	12	3,060,000	3,060,000	3,060,000
Revaluation surplus	13	6,464,988	6,845,313	1,955,580
Retained earnings		(8,768,408)	(2,345,349)	1,056,001
Total equity		<u>756,580</u>	<u>7,559,964</u>	<u>6,071,581</u>
Non-current liabilities				
Borrowings	14	6,286,941	6,961,892	725,139
Deferred income tax	15	-	1,408,657	55,255
Provision for service gratuity	16 (a)	7,909	26,166	4,724
Deferred grant income	26	18,420	18,420	45,811
		<u>6,313,270</u>	<u>8,415,135</u>	<u>830,929</u>
		<u>7,069,850</u>	<u>15,975,099</u>	<u>6,902,510</u>
REPRESENTED BY				
Non-current assets				
Property, plant and Property, plant and equipment	17	20,531,484	24,518,655	17,786,484
Intangible assets	18	119,647	130,045	110,780
Deferred income tax	15	1,366,556	-	-
Non-current staff receivables	19	36,159	31,145	49,458
Retirement benefit asset	16 (b)	176,958	164,829	57,700
		<u>22,230,804</u>	<u>24,844,674</u>	<u>18,004,422</u>
Current assets				
Inventories	20	408,468	489,811	741,233
Growing produce	21	103,966	149,728	115,273
Trade and other receivables	22	1,194,017	1,049,001	1,533,876
Current tax recoverable		145,071	150,403	158,954
Cash at bank and in hand	23	8,769	117,519	18,759
		<u>1,860,291</u>	<u>1,956,462</u>	<u>2,568,095</u>
Current liabilities				
Trade and other payables	24	11,174,555	8,029,332	7,630,451
Borrowings	14	5,330,062	2,312,067	5,569,017
Provision for service gratuity	16 (a)	81,307	44,941	29,093
Unclaimed dividends	11 (b)	435,321	439,697	441,446
		<u>17,021,245</u>	<u>10,826,037</u>	<u>13,670,007</u>
Net current liabilities		<u>(15,160,954)</u>	<u>(8,869,575)</u>	<u>(11,101,912)</u>
		<u>7,069,850</u>	<u>15,975,099</u>	<u>6,902,510</u>

The financial statements on pages 36 to 86 were authorised for issue by the board of directors on 29th November, 2017 and were signed on its behalf by:

Director

Director

STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 30 JUNE 2017

	Note	Share capital Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Total Shs'000
At 1st July 2015					
As previously reported	12	3,060,000	1,955,580	916,464	5,932,044
Prior period adjustment					
- Fair value gain on biological assets		-	-	139,537	139,537
As restated		3,060,000	1,955,580	1,056,001	6,071,581
Changes in equity in 2016					
Loss for the year		-	-	(4,756,591)	(4,756,591)
Other comprehensive loss for the year		-	6,180,902	64,072	6,244,974
Transfer of excess depreciation (net of deferred tax)		-	(1,291,169)	1,291,169	-
At 30th June 2016		3,060,000	6,845,313	(2,345,349)	7,559,964
At 1st July 2016					
As previously reported	12	3,060,000	7,093,105	(2,459,322)	7,693,783
Prior period adjustment					
- Surplus on revaluation of property, plant and equipment		-	(353,989)	-	(353,989)
- Fair value gain on biological assets		-	-	136,400	136,400
- Deferred tax		-	106,197	(22,427)	83,770
As restated		3,060,000	6,845,313	(2,345,349)	7,559,964
Changes in equity in 2017					
Loss for the year		-	-	(6,773,934)	(6,773,934)
Other comprehensive income for the year		-	-	(29,450)	(29,450)
Transfer of excess depreciation (net of deferred tax)		-	(380,325)	380,325	-
At 30th June 2017		3,060,000	6,464,988	(8,768,408)	756,580



STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 30 JUNE 2017

	Note	2017 Shs'000	2016 Shs'000
Cash flows from operating activities			
Loss for the year		(6,773,934)	(4,756,591)
Adjustments for:			
Tax income	9	(2,757,244)	(1,313,928)
Gain on fair value of growing produce	21	(97,137)	(133,803)
Decrease of growing produce due to harvest	21	142,898	99,348
Bearer plants written off		-	13,902
Depreciation of property, plant and equipment	17	1,670,233	1,251,463
Amortisation of intangible assets	18	10,398	4,081
Loss on disposal of property, plant and equipment		(577)	2,741
Foreign exchange gains on borrowings		68,450	60,595
Impairment of property, plant and equipment		2,336,904	949,860
Increase in provision for service gratuity	16	18,109	37,290
Increase in retirement benefit asset		(54,200)	(15,598)
Interest income		(2,480)	(59,381)
Interest and financial charges		1,448,184	934,977
Operating loss before working capital changes		(3,990,396)	(2,925,044)
(Decrease)/increase in:			
Non-current receivables		(5,014)	18,313
Inventories		81,343	251,422
Trade and other receivables		(145,016)	484,875
Increase in:			
Trade and other payables		3,145,223	398,882
Cash used in operations		(913,860)	(1,771,552)
Interest income		2,480	59,381
Interest and financial charges		(1,448,184)	(934,977)
Income tax paid		(16)	(537)
Utilisation of grants		-	(27,391)
Net cash used in operating activities		(2,359,580)	(2,675,076)
Cash flows from investing activities			
Purchase of property, plant and equipment	17	(19,966)	(131,185)
Purchase of intangible assets	19	-	(12,558)
Proceeds on disposal of property, plant and equipment		578	120
Net cash used in investing activities		(19,388)	(143,623)
Cash flows from financing activities			
Proceeds from long-term borrowings		1,877,157	2,628,049
Dividends paid		(4,376)	(1,749)
Net cash generated from financing activities		1,872,781	2,626,300
Net decrease in cash and cash equivalents		(506,187)	(192,399)
Cash and cash equivalents at start of year		(2,194,548)	(2,002,149)
Cash and cash equivalents at end of year	23	(2,700,735)	(2,194,548)

NOTES

1 Summary of significant accounting policies

The significant accounting policies adopted in the preparation of these general purpose financial statements are set out below:

a) Basis of preparation

The financial statements are prepared on a going concern basis and in compliance with International Financial Reporting Standards (IFRS) issued by the International Accounting Standards Board. They are presented in Kenya Shillings, which is also the functional currency (see (c) below), rounded to the nearest thousand (Shs'000).

The financial statements comprise a statement of profit or loss and other comprehensive income, balance sheet (statement of financial position), statement of changes in equity, and statement of cash flows. Income and expenses, excluding the components of other comprehensive income, are recognised in the profit or loss. Other comprehensive income comprises items of income and expense (including reclassification adjustments) that are not recognised in profit or loss as required or permitted by IFRS. Reclassification adjustments are amounts reclassified to the profit and loss account in the current period that were recognised in other comprehensive income in the current or previous periods. Transactions with the owners of the company in their capacity as owners are recognised in the statement of changes in equity.

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

Measurement basis

The measurement basis used is the historical cost basis except where otherwise stated in the accounting policies below.

For those assets and liabilities measured at fair value, fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. When measuring the fair value of an asset or a liability, the company uses market observable data as far as possible. If the fair value of an asset or a liability is not directly observable, it is estimated by the company using valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs (e.g. by use of the market comparable approach that reflects recent transaction prices for similar items or discounted cash flow analysis). Inputs used are consistent with the characteristics of the asset / liability that market participants would take into account.

Fair values are categorised into three levels in a fair value hierarchy based on the degree to which the inputs to the measurement are observable and the significance of the inputs to the fair value measurement in its entirety:

- Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 fair value measurements are those derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Transfers between levels of the fair value hierarchy are recognised by the company at the end of the reporting period during which the change occurred.



NOTES (CONTINUED)

1 Summary of significant accounting policies (cont'd)

b) New and revised standards

i) **Adoption of new and revised standards**

A number of amendments to standards became effective for the first time in the financial year beginning 1st January 2017 and have been adopted by the company. None of them has had an effect on the company's financial statements, except for effective for periods beginning 1 January 2017 the amendments to IAS 16 and IAS 41 relating to bearer plants (Note 21).

ii) **New and revised standards that have been issued but are not yet effective**

The company has not applied any new and revised standards and interpretations that have been published but are not yet effective for the year beginning 1st January 2017 (see Note 32).

The Directors do not plan to apply any of them until they become effective. Based on their assessment of the potential impact of application of the above, they do not expect that there will be a significant impact on the company's financial statements, other than in respect of the application of IFRS 16 Leases in 2019: this will require right-of-use assets and lease liabilities to be recognised in respect of most operating leases where the company is the lessee. The impact has not yet been quantified, but will result in an increase in non-current assets, an increase in non-current and current liabilities, and a reduction in retained earnings.

c) Translation of foreign currencies

On initial recognition, all transactions are recorded in the functional currency (the currency of the primary economic environment in which the company operates), which is Kenya Shillings.

Transactions in foreign currencies during the year are converted into the functional currency using the exchange rate prevailing at the transaction date. Monetary assets and liabilities at the balance sheet date denominated in foreign currencies are translated into the functional currency using the exchange rate prevailing as at that date. The resulting foreign exchange gains and losses from the settlement of such transactions and from year-end translation are recognised on a net basis in the profit and loss account in the year in which they arise.

d) Revenue recognition

Revenue represents the fair value of consideration received or receivable for the sale of goods and services in the course of the company's activities. It is recognised when it is probable that future economic benefits will flow to the company and the amount of revenue can be measured reliably. It is stated net of Value Added Tax, Excise duty, rebates and trade discounts. Cash discounts are included as part of finance costs.

Sale of goods are recognised upon the delivery of the product and customer acceptance, while sale of services are recognised upon performance of the service and customer acceptance based on the proportion of actual service rendered to the total services to be provided.

e) Borrowing costs

Borrowing costs, net of any temporary investment income on those borrowings, that are attributable to acquisition, construction or production of a qualifying asset are capitalised as part of the asset. The net borrowing cost capitalised is either the actual borrowing cost incurred on the amount borrowed specifically to finance the asset; or in the case of general borrowings, the borrowing cost is determined using the overall weighted average cost of the borrowings on all outstanding borrowings during the year less any specific borrowings directly attributable to the asset and applying this rate to the borrowing attributable to the asset. Capitalisation of borrowing costs ceases when all activities necessary to prepare the qualifying asset for its intended use or sale are complete. All other borrowing costs are recognised in profit or loss in the year in which they are incurred.

NOTES (CONTINUED)

1 Summary of significant accounting policies (cont'd)

f) Income tax

Income tax expense is the aggregate amount charged/(credited) in respect of current tax and deferred tax in determining the profit or loss for the year. Tax is recognised in the profit and loss account except when it relates to items recognised in other comprehensive income, in which case it is also recognised in other comprehensive income, or to items recognised directly in equity, in which case it is also recognised directly in equity.

Current tax

Current tax is the amount of income tax payable on the taxable profit for the year, and any adjustment to tax payable in respect of prior years, determined in accordance with the Kenyan Income Tax Act.

Deferred income tax

Deferred tax is determined for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes, using tax rates and laws enacted or substantively enacted at the balance sheet date and expected to apply when the asset is recovered or the liability is settled.

The measurement of deferred tax assets and liabilities reflects the tax consequences that would follow from the manner in which the company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets or liabilities. However, for investment property that is measured using the fair value model, there is a rebuttable presumption that the carrying amount of the investment property will be recovered through sale.

Deferred tax liabilities are recognised for all taxable temporary differences except those arising on the initial recognition of an asset or liability, other than through a business combination, that at the time of the transaction affects neither the accounting nor taxable profit or loss.

Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which temporary differences can be utilised. Recognised and unrecognised deferred tax assets are reassessed at the end of each reporting period and, if appropriate, the recognised amount is adjusted to reflect the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

g) Share capital

Ordinary shares are recognised at par value and classified as 'share capital' in equity.

h) Dividends

Dividends on ordinary shares are recognised as a liability in the year in which they are declared.



1 Summary of significant accounting policies (cont'd)

i) Provisions for liabilities

Provisions are recognised when the company has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made.

j) Post-employment benefit obligations

Defined contribution

The company operates a defined contribution retirement benefits plan for its employees, the assets of which are held in a separate trustee administered scheme managed by an approved administrator. A defined contribution plan is a plan under which the company pays fixed contributions into a separate fund, and has no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current or prior periods. The company's contributions are charged to the profit and loss account in the year to which they relate.

Defined benefit

The liability/asset recognised in the balance sheet in respect of the defined benefit scheme is the present value of the defined benefit obligations at the balance sheet date less the fair value of the plan assets. The defined obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows using interest rates of high-quality corporate bonds that are denominated in the functional currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension liability.

The following components of defined benefit cost are included in profit or loss:

- The service cost of the defined benefit plan (comprising current service costs, past service costs (including curtailment gains or losses) and any gain or loss on settlement)
- The net interest on the net defined benefit liability/asset.

Remeasurements of the net defined benefit liability/asset are recognised in other comprehensive income, with no reclassification to profit or loss in a subsequent period. Remeasurements comprise actuarial gains/losses and the return on plan assets, excluding amounts included in net interest on the net defined benefit liability/asset.

The company and its employees also contribute to the National Social Security Fund (NSSF), a national defined contribution scheme. Contributions are determined by local statute and the company's contributions are charged to the profit and loss account in the year to which they relate.

k) Short term employee benefits

The estimated monetary liability for employees' accrued annual leave entitlement at the balance sheet date is recognised as an employment cost accrual. The estimated monetary liability for employees' accrued annual leave entitlement at the balance sheet date is recognised as an employment cost accrual.

NOTES (CONTINUED)

1 Summary of significant accounting policies (cont'd)

1) Property, plant and equipment

All categories of property, plant and equipment are initially recognised at cost. Cost includes expenditure directly attributable to the acquisition of the assets. Computer software, including the operating system, that is an integral part of the related hardware is capitalised as part of the computer equipment. Freehold land, buildings and plant and machinery are subsequently carried at a revalued amount, based on valuations that are carried out every 5 years by external independent valuers, less accumulated depreciation and accumulated impairment losses. All other items of property, plant and equipment are subsequently carried at cost less accumulated depreciation and accumulated impairment losses.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that it will increase the future economic benefits associated with the item that will flow to the company over those originally assessed and the cost of the item can be measured reliably. Repairs and maintenance expenses are charged to the profit and loss account in the year in which they are incurred.

Increases in the carrying amount arising on revaluation are recognised in other comprehensive income and accumulated in equity under the heading of revaluation surplus. Decreases that offset previous increases of the same asset are recognised in other comprehensive income. All other decreases are charged to the profit and loss account. Annually, the difference between the depreciation charge based on the revalued carrying amount of the asset charged to the profit and loss account and depreciation based on the asset's original cost is transferred from the revaluation surplus reserve to retained earnings.

Depreciation is calculated using the straight line method to write down the cost or the revalued amount of each asset to its residual value over its estimated useful life using the following annual rates:

	Rate - %
Land development	2½
Buildings	2½ - 5
Factory plant and machinery	5 - 10
Heavy mobile machinery	12½ - 25
Motor vehicles	20 - 33⅓
Other equipment and fixtures	12½ - 33⅓

Each part of an item of property, plant and equipment with a cost that is significant in relation to the total cost of the item, is depreciated separately.

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each balance sheet date.

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amount and are taken into account in determining operating profit. On disposal of revalued assets, amounts in the revaluation surplus reserve relating to that asset are transferred to retained earnings.



1 Summary of significant accounting policies (cont'd)

m) Intangible assets

Software licence costs and computer software that is not an integral part of the related hardware are initially recognised at cost, and subsequently carried at cost less accumulated amortisation and accumulated impairment losses. Costs that are directly attributable to the production of identifiable computer software products controlled by the company are recognised as intangible assets. Amortisation is calculated using the straight line method to write down the cost of each licence or item of software to its residual value over its estimated useful life using an annual rate of 20%.

n) Impairment of non-financial assets

Non-financial assets that are carried at amortised cost are reviewed at the end of each reporting period for any indication that an asset may be impaired. If any such indication exists, an impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

o) Inventories

Finished sugar, molasses, water and ethanol inventories are stated at the lower of production cost and net realisable value. Production cost comprises expenditure directly incurred in the manufacturing process and an allocation of normal production overheads attributable to the process. Net realisable value represents the estimated selling price less all estimated costs of completion and the estimated costs necessary to make the sale.

Spares, fertilisers, chemicals and other consumable stores are stated at cost net of inventory write down where applicable. Cost is calculated on the weighted average cost basis and includes the purchase price, import duties and other taxes (other than those subsequently recoverable by the company from the taxation authorities), and transport, handling and other costs directly attributable to the acquisition of the item.

p) Biological assets

Biological assets (cane growing) consist of bearer plants (mature root system), growing produce (mature cane stem) and agricultural produce at the point of harvest are measured at their fair values less estimated costs to sell.

The fair value of growing cane is determined based on the present value of expected net cash flows (level 3). The fair value of harvested cane is determined based on the prices of cane existing in the market less estimated point of sale costs (level 2).

Bearer plants are measured at cost and depreciated over the economic life of 48 months.

q) Non-current assets held for sale

Non-current assets are classified as held for sale if their carrying amount will be principally recovered through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset is available for sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification. Non-current assets classified as held for sale are measured at the lower of the asset's previous carrying amount and the fair value less costs to sell.

NOTES (CONTINUED)

1 Summary of significant accounting policies (cont'd)

r) Leases

Leases of property, plant and equipment including hire purchase contracts where the company assumes substantially all the risks and rewards incidental to ownership are classified as finance leases. Finance leases are recognised as a liability at the inception of the lease at the lower of the fair value of the leased assets and the present value of the minimum lease payments. The interest rate implicit in the lease is used as the discount factor in determining the present value. Each lease payment is allocated between the liability and finance cost using the interest rate implicit in the lease. The finance cost is charged to the profit and loss account in the year in which it is incurred. Property, plant and equipment acquired under finance leases are capitalised and depreciated over the estimated useful life of the asset.

Company as a lessor

Leases of assets where a significant proportion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made/received under operating leases are charged/credited to the profit and loss account on a straight line basis over the lease period. Prepaid operating lease rentals are recognised as assets and are subsequently amortised over the lease period.

Company as a lessee

Rentals payable under operating leases are charged to profit or loss on the straight-line basis over the term of the relevant lease. Any payment required to be made to the lessor by way of penalty, for termination of leases before the expiry of the lease period, is recognised in the year in which termination takes place.

s) Cash and cash equivalents

Cash and cash equivalents include cash in hand and demand and term deposits, with maturities of three months or less from the date of acquisition, that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value, net of bank overdrafts. In the balance sheet, bank overdrafts are included as borrowings under current liabilities.

t) Financial instruments

Classification

The company classifies its financial instruments into the following categories:

- i) **Loans and receivables**, which comprise non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, and excludes assets which the company intends to sell immediately or in the near term or those which the company upon initial recognition designates as at fair value through profit or loss or as available-for-sale financial assets.
- ii) **Financial liabilities.**
Financial instruments held during the year were classified as follows:
 - Demand and term deposits with banking institutions and trade and other receivables were classified as 'loans and receivables'.
 - Borrowings and trade and other liabilities were classified as financial liabilities.



1 Summary of significant accounting policies (cont'd)

Recognition and measurement

Financial assets:

All financial assets are recognised initially using the trade date accounting which is the date the company commits itself to the purchase or sale. All other categories of financial assets are recorded at the fair value of the consideration given plus the transaction cost.

Subsequently, loans and receivables are carried at amortised cost using the effective interest method, while all other financial assets are carried at their fair values, without deduction for transaction costs that may be incurred on sale. However, investments in equity shares classified as available-for-sale assets for which there is no active market and whose fair value cannot be reliably measured are carried at cost less impairment.

Amortised cost is the amount at which the financial asset or liability is measured on initial recognition minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between the initial amount and the maturity amount, and minus any reduction for impairment or uncollectibility.

The company assesses at each balance sheet whether there is objective evidence that a financial asset is impaired. If any such evidence exists, an impairment loss is recognised. Impairment loss is the amount by which the carrying amount of an asset exceeds its recoverable amount. In the case of loans and receivables, the recoverable amount is the present value of the expected future cash flows, discounted using the asset's effective interest rate.

Changes in fair value of financial assets at fair value through profit or loss are recognised in the profit and loss account.

Financial liabilities:

All financial liabilities are recognised initially at the fair value of the consideration given less the transaction cost with the exception of financial liabilities carried at fair value through profit or loss, which are initially recognised at fair value and the transaction costs are expensed in the profit and loss account.

Subsequently, all financial liabilities are carried at amortised cost using the effective interest method except for financial liabilities at fair value through profit or loss which are carried at fair value.

Presentation

All financial assets are classified as non-current except those with maturities of less than 12 months from the balance sheet date, those which the directors have the express intention of holding for less than 12 months from the balance sheet date or those that are required to be sold to raise operating capital, in which case they are classified as current assets.

All financial liabilities are classified as non-current except those expected to be settled in the company's normal operating cycle, those payable or expected to be paid within 12 months of the balance sheet date and those which the company does not have an unconditional right to defer settlement for at least 12 months after the balance sheet date.

NOTES (CONTINUED)

1 Summary of significant accounting policies (cont'd)

t) Financial instruments (cont'd)

Derecognition

Financial assets are derecognised when the rights to receive cash flows from the investments have expired or the company has transferred substantially all risks and rewards of ownership.

Financial liabilities are derecognised only when the obligation specified in the contract is discharged or cancelled or expires.

Offsetting

Financial assets and liabilities are offset and the net amount reported in the balance sheet only when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

2. Significant judgements and key sources of estimation uncertainty

In the process of applying the accounting policies adopted by the company, the directors make certain judgements and estimates that may affect the amounts recognised in the financial statements. Such judgements and estimates are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the current circumstances. However, actual results may differ from those estimates. The judgements and estimates are reviewed at each financial reporting date to ensure that they are still reasonable under the prevailing circumstances based on the information available, and any revisions to such judgements and estimates are recognised in the year in which the revision is made.

a) Significant judgements made in applying the company's accounting policies

The judgements made by the directors in the process of applying the company's accounting policies that have the most significant effect on the amounts recognised in the financial statements include:

- i) Whether it is probable that future taxable profits will be available against which tax losses carried forward can be utilised.
- ii) Whether company's assets are impaired.
- iii) The company's business activities together with factors likely to affect its future development, performance and financial position are set out in Note 30. In addition, Note 3 to the financial statements includes the company's objectives, policies and processes for managing its capital, its financial risk management objectives, and its exposures to credit risk and liquidity risk. The directors have conducted going concern assessment covering at least twelve months from the date of approval of these financial statements and have a reasonable expectation that the company will have adequate resources to continue in operational existence for the foreseeable future. For these reasons, the directors continue to adopt the going concern basis of accounting in preparing the financial statements.

b) Key sources of estimation uncertainty

Key assumptions made about the future and other sources of estimation uncertainty that have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities within the next financial year include:



2. Significant judgements and key sources of estimation uncertainty (cont'd)

b) Key sources of estimation uncertainty (cont'd)

i) *Impairment*

Estimates made in determining the impairment losses on receivables. Such estimates include the determination of the net realisable value or the recoverable amount of the asset. The movement on the impairment provision is set out in Note 6.

Where it is not possible to estimate the recoverable amount of an individual non financial asset, the company estimates the recoverable amount of the cash generating unit to which the asset belongs. The impairment loss recognised on property, plant and equipment and the assumptions made are set out in Note 17.

ii) *Retirement benefit obligations*

Assumptions made by the actuary in determining the present value of retirement benefit obligations. The carrying amount of the provision and the key assumptions made in estimating the provision are set out in Note 16.

iii) *Growing produce*

In determining the fair value of growing produce, management uses estimates based on historical data relating to yields and prices of sugar. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce potential differences between estimates and actual experience. The significant assumptions used are set out in Note 21.

v) *Contingent liabilities*

The company is exposed to various contingent liabilities in the normal course of business. Management evaluates the status of these exposures on a regular basis to assess the probability of the company incurring related liabilities. However, provisions are made in the financial statements only where, based on the management's evaluation, a reliable estimate of the obligation can be made.

3. Risk management objectives and policies

a) Financial risk management

The company's activities expose it to a variety of financial risks including credit, liquidity and market risks. The company's overall risk management policies are set out by the board and implemented by the management, and focus on the unpredictability of changes in the business environment and seek to minimise the potential adverse effects of such risks on the company's performance by setting acceptable levels of risk. The company regularly reviews its risk management policies and systems to reflect changes in markets and best practice. Management in conjunction with various committees then identifies, evaluates and addresses risks accordingly. In addition, the company has an independent risk, audit and compliance department which reports directly to the Board Risk Audit and Compliance Committee. This department is responsible for the independent review of risk management and the control environment.

NOTES (CONTINUED)

3. Risk management objectives and policies (cont'd)

a) Financial risk management (cont'd)

i) Credit risk

Analysis of credit risk exposure

The amount that best represents the company's maximum exposure to credit risk as at 30 June 2017 is made up as follows:

30th June 2017	Fully performing Shs'000	Past due but not impaired Shs'000	Impaired Shs'000	Total Shs'000
Trade receivables	106,927	-	-	106,927
Receivables from farmers	266,245	43,145	82,213	391,603
Other receivables	427,144	3,557	-	430,701
Advance payments to suppliers	241,921	-	-	241,921
Staff receivables	59,024	-	-	59,024
Cash at bank	8,769	-	-	8,769
Maximum exposure to credit risk	1,110,030	46,702	82,213	1,238,945
30th June 2016				
Trade receivables	24,158	2,306	-	26,464
Receivables from farmers	292,746	5,813	221,847	520,406
Other receivables	70,798	-	-	70,798
Advance payments to suppliers	400,800	-	-	400,800
Staff receivables	61,678	-	-	61,678
Cash at bank	117,519	-	-	117,519
Maximum exposure to credit risk	967,699	8,119	221,847	1,197,665

The ageing analysis of past due but not impaired trade receivables is:

	2017 Shs'000	2016 Shs'000
1-3 months	-	2,306
Above 3 months	46,702	5,813
	46,702	8,119

Impaired receivables are stated net of the provision held against them.



3. Risk management objectives and policies (cont'd)

a) Financial risk management (cont'd)

ii) Liquidity risk

Liquidity risk is the risk that the company will encounter difficulty in meeting obligations associated with financial liabilities. The board has developed a risk management framework for the management of the company's short, medium and long-term liquidity requirements thereby ensuring that all financial liabilities are settled as they fall due. The company manages liquidity risk by continuously reviewing forecasts and actual cash flows, and maintaining banking facilities to cover any shortfalls.

30th June 2017	Less than 12 months Shs'000	Between 1-5 years Shs'000	Total Shs'000
Trade and other payables	10,201,412	-	10,201,412
Payables to outgrowers	973,143	-	3,143
Borrowings - bank	5,330,062	1,721,373	7,051,435
- others	-	5,346,179	5,346,179
	16,504,617	7,067,552	23,572,169
30th June 2016			
Trade and other payables	7,081,612	-	7,081,612
Payables to outgrowers	947,720	-	947,720
Borrowings - bank	2,312,067	1,721,373	4,033,440
- others	-	5,346,179	5,346,179
	10,341,399	7,067,552	17,408,951

iii) Market risk management

Market risk is the risk that the fair value or future cash flows of financial instruments will fluctuate because of changes in market price and comprises three types of risks: currency risk, interest rate risk and other price risk.

NOTES (CONTINUED)

3. Risk management objectives and policies (cont'd)

a) Overview (cont'd)

Interest rate risk

Interest rate risk arises primarily from borrowings, fixed and collateral deposits, cash and cash equivalents and farmer balances. The company's management monitors the sensitivity of reported interest rate movements on a regular basis by assessing the expected changes in the different portfolios. The change in legislation on bank interest rates has led to a decrease in prevailing interest rate and hence management does not foresee significant volatility in interest rates.

Management considers a change of three percentage points in the year ending 30th June 2018 is reasonably possible. If the interest rate on the company's borrowings at year end were to increase/decrease by this number of percentage points, with all other factors remaining constant, this would have resulted in a increase/decrease in post-tax loss of Shs 21,228,830 (2016: Shs 11,578,018). The interest rate on the PROPARCO loan is fixed thereby eliminating the interest rate risk. This has not been factored in the sensitivity analysis above.

Currency risk

Currency risk arises on financial instruments denominated in foreign currency. The company has trade receivables, trade payables and borrowings that are denominated in foreign currency. The significant exposure in respect of each currency is as follows:

	US\$ Shs'000	GBP Shs'000	Euro Shs'000	SAR Shs'000	Total Shs'000
Year ended 30th June 2017					
Trade receivables	-	9,951	-	88,982	98,933
Trade payables	(68,983)	-	(24,772)	-	(93,755)
Borrowings	(3,353,142)	-	-	-	(3,353,142)
Net exposure	(3,422,125)	9,951	(24,772)	88,982	(3,347,964)
Year ended 30th June 2016					
Trade receivables	-	12,110	-	87,717	99,827
Trade payables	(56,487)	-	(7,067)	-	(63,554)
Borrowings	(2,922,575)	-	-	-	(2,922,575)
Net exposure	(2,979,062)	12,110	(7,067)	87,717	(2,886,302)

Management considers that an appreciation or depreciation of the United States Dollar, the Sterling Pound, the South African Rand and the Euro against the Kenya Shilling of 10% in the year ending 30th June 2018 are both reasonably possible. If the United States Dollar, the Sterling Pound, the South African Rand and the Euro were to appreciate/depreciate against the Kenya Shilling by the said percentage, with all other factors remaining constant, the post tax loss would be higher/lower by Shs 335,831,990 (2016: Shs 248,773,827).



3. Risk management objectives and policies (cont'd)

b) Capital management

The company's objectives when managing capital are:

- To match the profile of its assets and liabilities, taking account of the risks inherent in the business;
- To maintain financial strength to support business growth; and
- To safeguard the company's ability to continue as going concern so that it can continue to provide adequate returns to its shareholders and value to all other stakeholders.

The capital structure of the company consists of debt, which includes the borrowings less cash and cash equivalents and equity attributable to equity holders, comprising issued capital, revaluation surplus and retained earnings.

The board of directors reviews the capital structure on a regular basis. As part of this review, the board considers the cost of capital and the risk associated with each class of capital. Based on the review, the board considers and analyses and assesses the gearing ratio to determine the appropriate levels. This ratio is calculated as net debt divided by equity. Net debt is calculated as total borrowings less cash and cash equivalents.

There have been no material changes in the company's management of capital during the year.

	2017 Shs'000	2016 Shs'000
The gearing ratio at the year-end was as follows:		
Total borrowings	11,617,003	9,273,959
Less: cash and cash equivalents	8,769	117,519
Net debt	11,608,234	9,156,440
Total equity	756,580	7,559,964
Total capital resources	12,364,814	16,716,404
Gearing	93.88%	54.78%

NOTES (CONTINUED)

4. Segmental information

a) Products and services from which reportable segments derive their revenues

Information reported to the company's chief operating decision maker (the Chief Executive Officer) for the purposes of resource allocation and assessment of segment performance is focused on the principal activities of the company.

The company identifies its reportable operating segments on the basis of products as indicated below;

- Sugar segment which primarily produces and sells sugar and molasses.
- Energy segment which generates electricity from bagasse (a by product of sugar production) for sale to Kenya Power.
- Ethanol segment which primarily produces and sells ethanol.
- Water segment which primarily produces and sells bottled drinking water.

b) Segment revenues and results, assets and liabilities

	Sugar Shs'000	Energy Shs'000	Ethanol Shs'000	Water Shs'000	Total Shs'000
Year ended 30 June 2017					
Revenue from customers	1,297,346	-	794,029	376	2,091,751
Inter-segment sales	124,060	18,458	(142,518)	-	-
	1,421,406	18,458	651,511	376	2,091,751
Cost of sales	(2,348,143)	(540,417)	(295,110)	(24,710)	(3,208,380)
Factory engineering	(1,138,962)	-	-	-	(1,138,962)
Production overheads	(878,108)	-	(48,155)	-	(926,263)
Change in value of product inventories	54,196	-	(58,944)	(1,544)	(6,292)
	(4,311,017)	(540,417)	(402,209)	(26,254)	(5,279,897)



Sweetening the lives of kenyans

4. Segmental information (cont'd)

b) Segment revenues and results, assets and liabilities (cont'd)

	Sugar Shs'000	Energy Shs'000	Ethanol Shs'000	Water Shs'000	Total Shs'000
Year ended 30 June 2017					
Fair value changes on biological assets	97,137	-	-	-	97,137
Loss before tax	(8,699,971)	(662,098)	(150,453)	(18,656)	(9,531,178)
Finance costs	(926,562)	(161,674)	(411,917)	-	(1,500,153)
Interest income	2,480	-	-	-	2,480
Depreciation and amortisation	(1,157,966)	(275,685)	(258,545)	(24,710)	(1,716,906)
Segment EBITDA	(6,612,963)	(224,739)	520,009	6,054	(6,311,639)
Segment assets	15,582,893	4,024,805	4,349,653	133,744	24,091,095
Segment liabilities	19,965,220	1,660,314	1,708,981	-	23,334,515

NOTES (CONTINUED)

4. Segmental information (cont'd)

b) Segment revenues and results, assets and liabilities (cont'd)

	Sugar Shs'000	Energy Shs'000	Ethanol Shs'000	Water Shs'000	Total Shs'000
Year ended 30 June 2016					
Revenue from customers	5,211,120	-	1,057,191	17,606	6,285,917
Inter-segment sales	34,588	107,317	(141,905)	-	-
	5,245,708	107,317	915,286	17,606	6,285,917
Cost of sales	(5,117,095)	(490,336)	(299,396)	(95,358)	(6,002,185)
Factory engineering	(1,074,446)	-	-	-	(1,074,446)
Production overheads	(1,063,335)	-	(56,893)	-	(1,120,228)
Change in value of product inventories	208,941	-	(58,944)	(1,544)	148,453
	(7,045,935)	(490,336)	(415,233)	(96,902)	(8,048,406)
Fair value changes on biological assets	64,649	-	-	-	64,649
(Loss)/profit before tax	(4,946,765)	(1,339,971)	395,594	(179,377)	(6,070,519)
Finance costs	(485,755)	(296,724)	(91,903)	-	(874,382)
Finance income	59,381	-	-	-	59,381
Depreciation and amortisation	(647,617)	(274,174)	(258,752)	(24,710)	(1,205,253)
Segment EBITDA	(3,754,012)	(769,073)	746,249	(154,667)	(3,931,503)
Segment assets	10,238,633	5,275,938	4,464,362	424,631	20,403,564
Segment liabilities	12,915,640	93,517	1,457,947	4,416	14,471,520



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4. Segmental information (continued)

- c) Revenue reported above represents revenue generated from external customers, except for the inter-segment sales.

Segment liabilities represent long term loans and current liabilities only.

Information on major customers

Included in revenue arising from sales of sugar of Shs 1.9 billion (2016: Shs 5.2 billion), is revenue of approximately Shs 165 million (2016: Shs 509 million) which arose from sales to the company's largest customer.

d) Other information

The accounting policies for the reportable segments are the same as the company's accounting policies described in note 1.

All the assets of the company are located in Kenya.

5. Revenue

	2017 Shs'000	2016 Shs'000
Sugar sales	1,297,346	5,096,577
Molasses sales	-	114,543
Ethanol sales	794,029	1,057,191
Water sales	376	17,606
	2,091,751	6,285,917
Gross sales	3,340,527	9,116,007
Less: Value Added Tax	(441,741)	(1,241,116)
Sugar Development Levy	(2,969)	(203,863)
Excise Duty	(804,066)	(1,385,111)
Net sales	2,091,751	6,285,917

NOTES (CONTINUED)

6 Impairment of assets

	2017 Shs'000	2016 Shs'000
Impairment of receivables	197,236	421,031
Write down of inventories	38,563	17,966
Impairment of property, plant and equipment	2,336,904	949,859
	2,572,703	1,388,856

7. Finance costs and income

	2017 Shs'000	2016 Shs'000
a) Interest income:		
On farmers' balances	-	47,693
On deposits with financial institutions held to maturity	139	8,121
On staff loans	2,341	3,567
	2,480	59,381

The interest income on farmers' balances relates to the interest that the company charges farmers in relation to credit advanced for farm inputs. The company recovers these amounts from the amounts payable to farmers on harvested cane.

(b) Finance Costs

	2017 Shs'000	2016 Shs'000
Interest expense:		
On loans	1,079,122	509,796
On bank overdrafts	369,062	401,002
Total interest expense	1,448,184	910,798
Other finance charges	-	24,179
Net foreign exchange gain on borrowings	51,969	(60,595)
	1,500,153	874,382



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8. Loss before tax income

(a) Items charged

The following items have been charged in arriving at loss before tax expense/income:

	2017 Shs'000	2016 Shs'000
Inventories expensed	5,279,897	8,048,406
Employee benefits expense (Note 8(b))	1,782,682	2,015,149
Directors emoluments		
- Fees	3,750	4,050
- Other	33,175	29,560
Operating lease rentals expense	33,658	17,437
Depreciation of property, plant and equipment	1,670,233	1,251,463
Amortisation of intangible assets	10,398	4,081
Auditors' remuneration		
Current year	5,000	5,572
Under provision in prior year	203	670

(b) Employee benefits expense

The following items are included in employee benefits expense:

Wages and salaries	1,705,729	1,929,975
- Defined benefit scheme	46,868	51,121
- Defined contribution scheme	26,417	29,922
- National Social Security Fund	3,668	4,131
	1,782,682	2,015,149

The average number of persons employed during the year, by category, were:

Production	1,171	1,219
Sales and distribution	16	22
Management and administration	298	368
Total	1,485	1,609

NOTES (CONTINUED)

9. Income tax

	2017 Shs'000	(Restated) 2016 Shs'000
Current income tax	5,348	9,087
Deferred tax credit (Note 15)	(2,762,592)	(1,323,015)
Income tax credit	(2,757,244)	(1,313,928)
The tax on the company's loss before income tax differs from the theoretical amount that would arise using the statutory income tax rate as follows:		
Loss before income tax	(9,531,178)	(6,070,519)
Tax calculated at the statutory tax rate of 30%	(2,859,354)	(1,821,156)
Tax effect of:		
Expenses not deductible for tax purposes	198,225	183,399
Prior year (over)/under provision in deferred tax	(96,115)	140,507
Deferred tax not recognised	-	183,322)
Income tax credit	(2,757,245)	(1,313,928)

10. Loss per share - basic and diluted

Loss per share is calculated by dividing the loss for the year attributable to shareholders by the number of ordinary shares in issue during the year.

	2017	2016
Loss for the year (Shs' 000)	(6,773,934)	(4,756,591)
Number of ordinary shares (thousands) - Note 12	1,530,000	1,530,000
Loss per share - Basic and diluted (Shs)	(4.43)	(3.11)

There were no potentially dilutive shares outstanding at either 30 June 2017 or 30 June 2016.



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11. Dividends

(a) Dividends per share

The directors do not recommend the payment of a dividend for the year (2016: Nil).

(b) Unclaimed dividends

The movement in the dividends payable account is as follows:

	2017 Shs'000	2016 Shs'000
At the beginning of year	439,697	441,446
Dividends paid	(4,376)	(1,749)
At the end of year	435,321	439,697

12. Share capital

	No. of ordinary Shares	Issued and fully paid up capital Shs'000
At 30th June 2017	1,530,000,000	3,060,000
At 30th June 2016	1,530,000,000	3,060,000

The total number of authorised ordinary shares is 2,500,000,000 (2016: 2,500,000,000) with a par value of Shs 2 each. Issued and fully paid ordinary shares, which have a par value of Shs 2, carry one vote per share and carry a right to dividend.

NOTES (CONTINUED)

13. Revaluation surplus

The revaluation surplus arises on the revaluation of freehold land and buildings and machinery and is stated net of deferred income tax. The surplus is not distributable. The movement during the year is as follows:

	2017 Shs'000	2016 Shs'000
At 1st July	6,845,313	1,955,580
Surplus on revaluation of property, plant and equipment	-	8,829,860
Deferred tax relating to surplus on revaluation of property and equipment	-	(2,648,958)
Transfer of excess depreciation on revaluation (net of deferred tax)	(380,325)	(1,291,169)
At 30th June	6,464,988	6,845,313

14. Borrowings

The borrowings are analysed as follows:

Non-current

Bank loans	-	2,123,226
Other borrowings	6,286,941	4,838,666
	6,286,941	6,961,892

Current

Bank overdraft (Note 23)	2,709,504	2,312,067
Bank loans	2,620,558	-
	5,330,062	2,312,067
Total borrowings	11,617,003	9,273,959



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14. Borrowings (continued)

Analysis of borrowings by currency	Borrowings in US\$	Shillings Equivalent	Borrowings in Shs	Total Borrowings
At 30 June 2017		Shs '000	Shs '000	Shs '000
PROPARCO	17,823,049	1,848,459	-	1,848,459
Commercial Bank of Africa Limited	-	-	364,551	364,551
Ecobank Kenya Limited	10,967,106	1,137,417	638,439	1,775,856
Kenya Commercial Bank Limited	-	-	480,152	480,152
Kenya Sugar Board	-	-	1,601,322	1,601,322
The National Treasury	-	-	2,837,160	2,837,160
Bank overdrafts	28,790,155 3,541,222	2,985,876 367,266	5,921,624 2,342,238	8,907,500 2,709,504
	32,331,377	3,353,142	8,263,862	11,617,004
At 30 June 2016				
PROPARCO	16,422,131	1,660,314	-	1,660,314
Commercial Bank of Africa Limited	-	-	324,232	324,232
Ecobank Kenya Limited	9,208,225	930,972	453,777	1,384,749
Kenya Commercial Bank Limited	-	-	414,245	414,245
Kenya Sugar Board	-	-	1,517,596	1,517,596
The National Treasury	-	-	1,660,756	1,660,756
Bank overdrafts	25,630,356 3,276,774	2,591,286 331,289	4,370,606 1,980,778	6,961,892 2,312,067
	28,907,130	2,922,575	6,351,384	9,273,959

NOTES (CONTINUED)

14. Borrowings (continued)

The borrowings are secured by:

- * The loan from PROPARCO is secured with a fixed charge over the assets of the co-generation plant.
- * The term loans from Ecobank Kenya Limited and its consortium partners are secured by a pari passu first ranking specific debenture in favour of consortium lenders over the ethanol plant, its receivables and inventory up to USD 20 million.
- * The bank overdraft facility and term loan from Kenya Commercial Bank Limited are secured by:
 - Debenture for Shs 2,470,000,000 over the company assets ranking pari passu with Barclays Bank of Kenya Limited and CfC Stanbic Bank Limited; and
 - Legal charge for Shs 2,435,600,000 over industrial/agricultural L.R. No. Mumias Scheme/2 located at Mumias Sub County ranking pari passu with Barclays Bank of Kenya Limited and CfC Stanbic Bank Limited.

At the close of the financial year, the company did not have any undrawn committed banking facilities (2016: Shs 37,289,000). The banking facilities consist of bank overdrafts, guarantees and letters of credit. The banking facilities are secured by legal charges over L.R. Mumias Sugar Scheme/2 and fixed and floating debentures over all of the company's assets shared out on a pari passu basis by Kenya Commercial Bank Limited, and CFC Stanbic Bank Limited, with Barclays Bank of Kenya Limited.

During the year, the company received Shs 839,244,000 (2016: Shs 2.16 billion) from the Government of Kenya and the Kenya Sugar Board as part of the liquidity support to the company. The terms of the funds received are still under negotiations, and have been presented as non-current borrowings as at 30th June 2017.

The company is in default on principal and loan repayments on the loan facilities. With the exception of PROPARCO, Kenya Sugar Board and The National Treasury, all the other lenders have issued demand letters requiring immediate payment of all sums outstanding. The company, together with anchor shareholder, the Government of Kenya, have initiated a structured process to discuss with the lenders with a view to restructuring the debt liabilities (Note 30).



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15. Deferred income tax

Deferred income tax is calculated using the enacted tax rate of 30% (2016: 30%).

Deferred tax assets and liabilities, and the deferred tax charge/(credit) in the profit and loss account and in other comprehensive income are attributable to the following items:

	2017 Shs'000	(Restated) 2016 Shs'000
At start of year	1,408,657	55,255
Credit to profit and loss	(2,762,592)	(1,323,015)
Credit to other comprehensive income	(12,621)	2,676,417
At the end of the year	(1,366,556)	1,408,657

Year ended 30th June 2017	At 1st July 2016 Shs'000	(Credited)/charged to profit or loss Shs'000	(Credited)/charged to other comprehensive income Shs'000	At 30th June 2017 Shs'000
Deferred income tax liabilities				
Property, plant and equipment on historical cost basis				
on historical cost basis	3,751,763	(348,972)	-	3,402,791
on revaluation surplus	2,841,918	(784,719)	-	2,057,199
Unrealised exchange gains	191,094	(109,612)	-	81,482
Defined benefits obligation	49,448	16,260	(12,621)	53,087
	6,834,223	(1,227,043)	(12,621)	5,594,559

NOTES (CONTINUED)

15. Deferred income tax (continued)

Year ended 30th June 2017	At 1st July 2016 Shs'000	(Credited)/charged to profit or loss Shs'000	(Credited)/charged to other comprehensive income Shs'000	At 30th June 2017 Shs'000
Deferred income tax assets				
Provision for service gratuity	(21,332)	-	-	(21,332)
Provision for staff leave pay	(10,620)	-	-	(10,620)
Provision for legal fees	(35,761)	6,139	-	(29,622)
Fair value adjustments - biological assets	44,918	(23,978)	-	20,940
General provision for impairment of receivables	(58,506)	29,020	-	(29,486)
General provision for writedown of inventories	(24,161)	(908)	-	(25,069)
Tax losses	(5,320,104)	(1,545,822)	-	(6,865,926)
	(5,425,566)	(1,535,549)	-	(6,961,115)
Net deferred tax liability/(asset)	1,408,657	(2,762,592)	(12,621)	(1,366,556)

At 1st July 2015 Year ended 30th June 2016	(Credited)/charged to profit or loss Shs'000	(Credited)/charged to other comprehensive income Shs'000	At 30th June 2016 Shs'000	Shs'000
Deferred income tax assets				
Property, plant and equipment on historical cost basis	3,624,417	127,346	-	3,751,763
on revaluation surplus	838,106	(645,146)	2,648,958	2,841,918
Unrealized exchange gains	272,913	(81,819)	-	191,094
Defined benefit obligation	17,310	4,679	27,459	49,448
	4,752,746	(594,940)	2,676,417	6,834,223



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15. Deferred income tax (continued)

Year ended 30th June 2016	At 1st July 2015 Shs'000	(Credited)/charged to profit or loss Shs'000	(Credited)/charged to other comprehensive income Shs'000	At 30th June 2016 Shs'000
Deferred income tax assets				
Provision for service gratuity	(10,145)	(11,187)	-	(21,332)
Provision for staff leave pay	(9,317)	(1,303)	-	(10,620)
Provision for legal fees	(17,610)	(18,151)	-	(35,761)
Fair value adjustments - biological assets	(34,878)	79,796	-	44,918
General provision for impairment of receivables	(140,422)	81,916	-	(58,506)
General provision for writedown of inventories	(26,476)	2,315	-	(24,161)
Tax losses	(4,458,643)	(861,461)	-	(5,320,104)
	(4,697,491)	(728,075)	-	(5,425,566)
Net deferred tax liability/(asset)	55,255	(1,323,015)	2,676,417	1,408,657

Under the Kenyan Income Tax Act, tax losses are allowable as a deduction only in the nine years succeeding the year in which they occurred. The tax losses of Shs 19,403,808,000 carried forward will expire as follows:

Arising in:	Tax losses Shs'000	Expiring:
2012	6,257,348	30th June 2021
2013	1,122,053	30th June 2022
2014	2,388,567	30th June 2023
2015	4,483,100	30th June 2024
2016	5,152,740	30th June 2025
Tax losses carried forward	19,403,808	

Under the Kenyan Income Tax Act, tax losses arising prior to 2012 are allowable as a deduction in the year they arise and four succeeding years unless an extension has been granted by the Cabinet Secretary to the National Treasury. The tax losses of Shs 611,074,757 arising in the period prior to 2010 expired on 30th June 2014. The directors have made an application for the extension to the Cabinet Secretary, National Treasury through the Kenya Revenue Authority and have requested for an extension. These losses are not carried forward in arriving at the deferred tax asset.

NOTES (CONTINUED)

16. Retirement benefits obligations

(a) Provision for Service Gratuity

	2017 Shs'000	2016 Shs'000
At the beginning of the year	71,107	33,817
Provision for the year (Note 8)	69,723	78,079
Paid during the year	(51,614)	(40,789)
At the end of the year	89,216	71,107
Maturity analysis		
Within one year	81,307	44,941
After one year	7,909	26,166
	89,216	71,107

(b) Staff Retirement Defined Benefit Scheme

Mumias Sugar Company Limited Staff Retirement Benefits Scheme is established under trust and operates on a defined benefits basis. The Scheme is sponsored by Mumias Sugar Company Limited, and registered under irrevocable trust with the Retirement Benefits Authority. The Retirement Benefits Authority Act, 1997 and the Regulations under the Act require the Scheme to maintain a funding level of 100%. Where the funding level is below, such deficits are required to be amortised over a period not exceeding 6 years.

The Scheme is managed by a Board of Trustees. The Board of Trustees is responsible for the overall operation of the Scheme including making sure benefits are paid to beneficiaries on time.

The employer currently pays 10.7% of the pensionable salary while the employees contribute 5% of their pensionable salaries per annum. The scheme is funded and hence the assets under the scheme are used to meet benefit payments as and when they arise. The timing of the benefit payments from the scheme are unknown as the scheme comprises active members, pensioners and deferred pensioners.

Under the scheme, the employees are entitled to post retirement annual pension of 1/60th of the final pensionable salary for each year of pensionable service subject to a maximum of 60% of final pensionable pay. An employee may with the company's consent retire at or after the age of 50 years and receive an annual pension which will be reduced for early payment. In case of early retirement due to ill health, the employee is entitled to an annual pension based on the salary at the date of leaving and prospective service to retirement.



16. Retirement benefits obligations (continued)

(b) Staff Retirement Defined Benefit Scheme (cont'd)

The plan exposes the company to actuarial risks, in particular:

- Salary risk: any increase in the plan participants' salary will increase the plan's liability.
- Longevity risk: any increase in the plan participants' life expectancy will increase the plan's liability.
- Investment risk: if the actual return on plan assets is below the discount rate used in calculating the defined benefit plan liability, a plan deficit will arise; however, the composition of plan assets is balanced enough not to expose the company to significant concentrations of investment risk.
- Interest rate risk: a decrease in the bond interest rate will increase the plan liability (however, partially counterbalanced by an increase in the return on the plan's debt investments).

A full actuarial valuation was carried out as at 30th June 2017 by Actuarial Services (East Africa) Limited. The present value of the defined benefit obligation, and the related current service cost and past service cost, were measured using the Projected Unit Credit Method.

The principal assumptions used for the purposes of the actuarial valuations were as follows:

	2017	2016
Discount rate (% p.a)	13.52%	14.34%
Mortality (pre- retirement)	A1945-1952	A1945-1952
Mortality (post- retirement)	A(55) M/F Ultimate	A(55) M/F Ultimate
Retirement age	55 years	55 years
Withdrawals	At rates consistent with similar arrangements	At rates consistent with similar arrangements
Future salary increases (% p.a)	8%	8%

For each of the above significant actuarial assumptions, a sensitivity analysis has been determined based on reasonably possible changes of the assumption occurring at the end of the reporting period, while holding all other assumptions constant:

- If the discount rate is 1% higher (lower), the defined benefit obligation would decrease by Shs 22,445,000 (increase by Shs 2,253,000).
- If the expected rate of salary growth increases (decreases) by 1%, the defined benefit obligation would increase by Shs 25,980,000 (decrease by Shs 1,925,000).

NOTES (CONTINUED)

16. Retirement benefits obligations (continued)

(b) Staff Retirement Defined Benefit Scheme (cont'd)

The amount recognised in comprehensive income in respect of this defined benefit plan are as follows:

	2017 Shs'000	2016 Shs'000
Service cost:		
Current service cost	35,605	57,452
Net interest (credit)	(47,436)	(15,713)
Prior years asset values adjustment	4,416	(6,290)
Component of defined benefit costs recognised in profit or loss (Note 8(b))	(7,415)	35,449
Actuarial (gain)/loss obligation on remeasurement	7,023	(431,062)
Return on plan assets (excluding amounts in interest cost)	35,048	339,531
Total loss/(gain) recognised in other comprehensive income	42,071	(91,531)
Total	34,656	(56,082)
The net defined benefit (asset) in the balance sheet comprises:		
Present value of the defined benefit obligation	1,580,338	1,492,342
Fair value of scheme assets	(1,934,255)	(1,822,102)
Effect of asset ceiling	176,959	164,881
Under provision on the asset ceiling in prior year	-	50
Defined benefit asset	(176,958)	(164,829)
The movement in the defined benefit obligation over the year is:		
Opening defined benefit obligation	1,492,342	1,804,200
Current service cost (net of employee contributions)	35,605	57,452
Employee contributions	22,094	24,144
Interest costs	205,035	231,610
Actuarial loss/(gains)	7,023	(431,062)
Benefits paid	(181,761)	(194,002)
Closing defined benefit obligation	1,580,338	1,492,342



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16. Retirement benefits obligations (continued)

(b) Staff Retirement Defined Benefit Scheme (continued)

The movement in the fair value of the plan assets is as follows:

	2017 Shs'000	2016 Shs'000
Opening fair value of plan assets	1,822,102	1,919,700
Return on plan assets	229,501	14,923
Employee contributions	22,094	24,144
Employer contributions	46,735	51,047
Benefits paid	(181,761)	(194,002)
Prior year adjustments	(4,416)	6,290
Closing fair value of plan assets	1,934,255	1,822,102

The fair value of plan assets comprises:

	2017 Shs'000	2016 Shs'000	2017 %	2016 %
Cash and cash equivalents	22,930	84,955	1.19	4.66
Equity instruments	520,800	481,251	26.93	26.41
Government securities	893,783	785,838	46.21	43.13
Corporate bonds	103,057	101,325	5.33	5.56
Property	71,500	78,339	3.70	4.30
Offshore investments	106,459	151,417	5.50	8.31
Other investments	215,726	138,977	11.15	7.63
	1,934,255	1,822,102	100	100

The expected contributions to the scheme during the year ending 30th June 2018 are Shs 53,647,850.

The weighted average duration of the defined benefit obligation at 30th June 2017 is 9.7 years (2016: 3.3 years).

NOTES (CONTINUED)

17. Property, plant and equipment

	Freehold Land Shs'000	Leasehold Land and Land development Shs'000	Buildings Shs'000	Factory and plant machinery Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment and fixtures Shs'000	Capital work-in- progress Shs'000	Bearer plant Shs'000	Bearer plant Capital work-in-	Total
COST OR VALUATION											
At 1st July 2015											
Cost or valuation											
Cost (as previously reported)	106,678	1,290,793	3,625,978	15,149,286	497,227	356,858	960,626	846,090	-	-	22,833,536
Prior year adjustments	-	-	-	-	-	-	-	-	298,589	2,981	301,570
Restated cost	106,678	1,290,793	3,625,978	15,149,286	497,227	356,858	960,626	846,090	298,589	2,981	23,135,106
Accumulated depreciation											
Cost (as previously reported)	-	(155,931)	(606,913)	(3,109,453)	(227,179)	(324,052)	(764,047)	-	-	-	(5,187,575)
Prior year adjustments	-	-	-	-	-	-	-	-	(161,047)	-	(161,047)
Restated accumulated depreciation	-	(155,931)	(606,913)	(3,109,453)	(227,179)	(324,052)	(764,047)	-	(161,047)	-	(5,348,622)
Net carrying amount	106,678	1,134,862	3,019,065	12,039,833	270,048	32,806	196,579	846,090	137,542	2,981	17,786,484
Year ended 30th June 2016											
Opening carrying amount	106,678	1,134,862	3,019,065	12,039,833	270,048	32,806	196,579	846,090	137,542	2,981	17,786,484
Additions	-	-	31	3,932	-	-	25,322	87,243	-	14,657	131,185
Disposals	-	-	(119)	-	-	-	(2,742)	-	-	-	-
Transfers from capital work in progress	-	7,005	-	141,707	-	-	(13,902)	(148,712)	11,992	(11,992)	(16,763)
Transfers to intangible assets	-	-	-	-	-	-	-	(10,788)	-	-	(10,788)
Impairment loss	-	-	(104,183)	(652,119)	-	-	-	(193,558)	-	-	(949,860)
Revaluation	4,280,000	-	620,874	4,121,614	161,361	-	-	-	-	-	9,183,849
Depreciation charge	-	(39,272)	(156,329)	(844,103)	(71,636)	(18,365)	(71,435)	-	(50,323)	-	(1,251,463)
Closing carrying amount	4,386,678	1,102,595	3,376,716	14,810,864	359,773	14,441	150,347	580,275	85,309	5,646	24,872,644
At 30th June 2016											
Cost or valuation											
As previously stated	4,386,678	1,297,798	3,622,490	15,294,925	497,227	356,858	984,947	773,833	-	-	27,214,756
Reclassification of leasehold land	(4,280,000)	4,280,000	-	-	-	-	-	-	-	-	-
Prior year adjustment - revaluation	-	(745,002)	(177,051)	764,684	(59,790)	(6,571)	(11,515)	(37,686)	-	-	(272,931)
Prior year adjustment - bearer plants	-	-	-	-	-	-	-	-	296,679	5,646	302,325
Restated cost	106,678	4,832,796	3,445,439	16,059,609	437,437	350,287	973,432	736,147	296,679	5,646	27,244,150
Accumulated depreciation and impairment											
As previously stated	-	(195,203)	(245,774)	(484,061)	(137,454)	(342,417)	(834,600)	(193,558)	-	-	(2,433,067)
Prior year adjustment - revaluation	-	93,123	136,878	(425,601)	100,235	5,652	8,655	-	-	-	(81,058)
Prior year adjustment - bearer plants	-	-	-	-	-	-	-	-	(211,370)	-	(211,370)
Restated accumulated depreciation and impairment	-	(102,080)	(108,896)	(909,662)	(37,219)	(336,765)	(825,945)	(193,558)	(211,370)	-	(2,725,495)
Restated net carrying amount	106,678	4,730,716	3,336,543	15,149,947	400,218	13,522	147,487	542,589	85,309	5,646	24,518,655



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17. Property, plant and equipment

	Freehold Land Shs'000	Leasehold Land and Land development Shs'000	Buildings Shs'000	Factory and plant machinery Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment and fixtures Shs'000	Capital work-in- progress Shs'000	Bearer plant Shs'000	Bearer plant Capital work-in-	Total
Year ended 30th June 2017											
Opening carrying amount	106,678	4,730,716	3,336,543	15,149,947	400,218	13,522	147,487	542,589	85,309	5,646	24,518,655
Additions	-	-	-	22,043	-	-	2,407	3,548	(31,944)	23,912	19,966
Transfers from capital work in progress	-	-	-	-	-	-	-	-	28,206	(28,206)	-
Impairment loss	-	-	-	(2,336,904)	-	-	-	-	-	-	(2,336,904)
Depreciation charge	-	(142,933)	(203,170)	(1,125,751)	(115,398)	(8,004)	(43,246)	-	(31,731)	-	(1,670,233)
Closing carrying amount	106,678	4,587,783	3,133,373	11,709,335	284,820	5,518	106,648	546,137	49,840	1,352	20,531,484
At 30th June 2017											
Cost or valuation	106,678	4,832,796	3,445,439	16,081,652	437,437	350,287	975,839	739,695	292,941	1,352	27,264,116
Accumulated depreciation and impairment	-	(245,013)	(312,066)	(4,372,317)	(152,617)	(344,769)	(869,191)	(193,558)	(243,101)	-	(6,732,632)
Net carrying amount (valuation basis)	106,678	4,587,783	3,133,373	11,709,335	284,820	5,518	106,648	546,137	49,840	1,352	20,531,484
Net carrying amount (cost basis)	106,678	638,554	1,298,594	12,285,928	275,493	6,241	105,689	546,137	49,840	1,352	15,314,506

NOTES (CONTINUED)

17. Property, plant and equipment (continued)

Land developments and buildings were revalued on 30th June 2016 by Regent Valuers Limited based on an open market value basis (Level 2). Factory plant and machinery and heavy mobile machinery were revalued on 30th June 2016 by Tysons Limited based on a depreciated replacement cost basis (Level 2).

The balance on capital work in progress mainly represents expenditure on incomplete works on the new office block, cane buying centres and factory machinery that were in progress at the end of the reporting period.

During the year, due to the poor performance of the company, the directors have carried out a review to ascertain impairment in the carrying amount of plant and equipment. Based on the assessment, an impairment provision of Shs 2,336,904,000 has been recognised during the year in respect of the sugar and the co-generation plants. Key assumptions made in the assessment of the recoverable amount of these impaired assets include:

- i) Cane availability - the success of the cane development efforts.
- ii) Rendement improving to 7.0% in 2017 and thereafter 8% in 2018.
- iii) The price of sugar per tonne projected at Shs 83,565 per tonne in 2018 and increasing by 2% thereafter.
- iv) The company successfully negotiating an increase in electricity selling price from the current USD 0.06 to USD 0.12 per kilowatt-hour in 2020.

Non-achievement of the above assumptions would lead to a further impairment in the carrying value of property, plant and equipment.

Effective 1st July 2016, the Company has accounted for its biological assets in accordance with revised IAS 41 and IAS 16 and prior year comparative figures have been restated accordingly. Under the revised standards, the root system of growing cane is recognised as a bearer plant from the 7th month when it is fully developed. Upon maturity, the Bearer plant begins to bear produce and remains productive for at least 3 harvest cycles of 16 months each as cane stamps sprout into new produce after each harvest.

Significant assumptions made in determining the carrying values of bearer plants are:-

- Bearer plants are carried at cost less depreciation. The cumulative cost of developing cane for the first 6 months has been capitalised and depreciated over the plant's economic life estimated to be 48 months. All costs incurred after the 6th month are expensed.
- Cane aged 1-6 months is recognised as work in progress since their root system is still developing.
- On initial application, the cost value of existing bearer plants have been estimated using standard cost of cane development per hectare. All subsequent additions are recognised at actual cost.



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17. Property, plant and equipment (continued)

As at 30 June 2017, 90% (2016: 92%) of the Nucleus Estate land under cane cover measuring 2,857.78 ha (2016: 2,989.98 ha) was under fully developed (mature) bearer plant. The remaining 10% (2016: 8%) of Estate land measuring 325.29 ha (2016: 252.24 ha) was covered by developing (immature) bearer plant.

During the year, 1,396.17 ha (2016: 563.27 ha) of the Nucleus Estate was planted with new cane, 1,323.11 ha (2016: 510.85 ha) of growing cane roots matured and was recognised as additional bearer plants while 1,453.27 ha (2016: 712.63 ha) of mature bearer plants was followed or uprooted by reploughing.

All property, plant and equipment other than bearer plants have been charged to secure banking facilities as disclosed in Note 14.

Fully depreciated property, plant and equipment:

	Cost/valuation	
	2017 Shs'000	2016 Shs'000
Motor vehicles	315,821	296,772
Other equipment and fixtures	633,907	578,259
Bearer plants	27,242	27,242
	976,970	902,273

The company owns 4,413.82 hectares of leasehold land. The land has been charged to secure banking facilities granted to the company as disclosed in Note 14. The development was last valued on 30 June 2016, by Regent Valuers Limited, on an open market basis at Shs 4,280,000,000. The value of the land has been reflected in the balance sheet as part of property, plant and equipment.

NOTES (CONTINUED)

18. Intangible assets

	Computer software Shs'000	Capital work in progress Shs'000	Total Shs'000
COST OR VALUATION			
At 1 July 2015	271,094	135,260	406,354
Additions	3,033	9,525	12,558
Transfer from capital work in progress	10,572	(10,572)	-
Transfer from property, plant and equipment	10,788	-	10,788
At 30 June 2016	295,487	134,213	429,700
At 1 July 2016	295,487	134,213	429,700
Additions	-	-	-
At 30 June 2017	295,487	134,213	429,700
Accumulated amortisation and impairment			
At 1 July 2016	265,215	30,359	295,574
Charge for the year	4,081	-	4,081
At 30 June 2017	269,296	30,359	299,655
At 1 July 2016	269,296	30,359	299,655
Charge for the year	10,398	-	10,398
At 30 June 2017	279,694	30,359	310,053
Net carrying amount			
At 30 June 2017	15,793	103,854	119,647
At 30 June 2016	26,191	103,854	130,045

Intangible assets represent computer software and development costs. Capital work in progress relates to an ongoing software upgrade.

At 30 June 2017, intangible assets with a cost of Shs 270,226,000 (2016: Shs 265,745,000) were fully amortised.



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19. Non-current staff receivables

	2017 Shs'000	2016 Shs'000
Staff receivables	59,024	61,678
Less: receivable within one year (Note 22)	(22,865)	(30,533)
Receivable after one year	36,159	31,145

The company operates a staff car loan scheme for employees whereby eligible employees are given loans to acquire cars for their personal use. The loans are repayable within a maximum period of 60 months.

Included in the staff receivables balances are staff car loans amounting to Shs 52,351,000 (2016: Shs 54,615,000) which are secured by the vehicles acquired through the loans. The effective interest rate on staff loans was 5%.

20. Inventories

	2017 Shs'000	2016 Shs'000
Sugar and molasses	36	5,046
Sugar in process	-	2,156
Ethanol	2,620	3,565
Water	-	370
Mechanical and electrical spares	2,656	11,137
Other consumables	403,177	476,039
	2,635	2,635
	408,468	489,811

Write down of inventories recognised as an expense during the year amounted to Shs 46,842,000 (2016: Shs 101,554,000).

NOTES (CONTINUED)

21. Growing produce

	2017 Shs'000	2016 Shs'000
At beginning of the year - as previously stated	104,285	116,259
Prior year adjustment:		
- Understatement in prior year valuation	152,745	161,251
- Change in accounting policy	(107,302)	(162,237)
At beginning of the year - restated	149,728	115,273
Decrease due to harvest at fair value less point of sale costs	(142,898)	(99,348)
	6,830	15,925
Gain arising from changes in fair value attributable to physical changes	75,920	108,080
Gain arising from changes in fair value attributable to price changes	21,216	25,723
Fair value gain during the year	97,136	133,803
Carrying amount at the end of the year	103,966	149,728

The Company grows sugar cane (biological asset) in its Nucleus Estate whose produce is harvested for replanting or milling. Effective 1st July 2016, the Company has accounted for its biological assets in accordance with revised IAS 41 and IAS 16 and prior year comparative figures have been restated accordingly. The adjustment includes a correction of prior year adjustment arising from change of estimation method to achieve a fairer presentation of the value of biological asset. Under the revised standards, the stem of growing cane is recognised as growing produce from the 7th month when it begins to form sucrose. The produce fully matures with maximum sucrose 16 months thereafter but can be harvested as early as 9 months as seedcane.



21. Growing produce (continued)

Significant assumptions made in determining the fair values of biological assets and growing produce are:-

- Growing produce has been stated at fair value less point of sale cost. The valuation is based on a market price of Shs 4,200 per tonne of sugar cane (June 2016: Shs 3,800).
- Growing produce has been quantified in tonnes as the product average productivity per unit acreage at harvest age (TCHM) and actual acreage (ha) covered by the produce. The TCHM for 2017 was 1.769 (2016: 1.785)
- All costs incurred to maintain growing produce from the 7th month up to time of harvest are expensed.

As at 30 June 2017, 3183.07ha (2016: 3238.15ha) of Nucleus Estate was covered by growing cane. Of this, 46.2% (2016: 4.8%) covering 1,471.09 ha (2016: 155.76 ha) had mature produce ready for harvest while 22.9% (2016: 3.9%) covering 727.63 ha (2016: 125.77 ha) had immature produce. The remaining 30% (2016: 91.3%) of growing cane covering 659.06 ha (2016: 2708 ha) had not borne recognisable produce.

During the year, 56,439 tonnes (2016: 95,153 tonnes) of cane was harvested from the estate with a fair value less estimated point of sale costs of Shs 142,898,310 (2016: Shs 99,348,000).

In determining the present value of expected net cash flows, the company has not discounted the cash flows as standing cane will mature within the next reporting period and therefore the impact of the time value of money on estimated future cash flows is not significant.

The company expects to harvest the mature cane produce held at the end of the year within the next twelve months and thus the growing produce has been presented as a current assets.

NOTES (CONTINUED)

22. Trade and other receivables

	Gross Amount Shs'000	Provision for impairment Shs'000	Net Shs'000
At 30th June 2017			
Receivables from farmers	2,036,547	(1,644,944)	391,603
MOCO receivables	734,983	(734,983)	-
Trade receivables	303,173	(196,246)	106,927
Other receivables and prepayments	993,749	(563,048)	430,701
Advance payments to suppliers	241,921	-	241,921
Staff receivables (Note 19)	22,865	-	22,865
As at 30th June	4,333,238	(3,139,221)	1,194,017
At 30th June 2016			
Receivables from farmers	2,013,253	(1,492,847)	520,406
MOCO receivables	734,983	(734,983)	-
Trade receivables	221,921	(195,457)	26,464
Other receivables and prepayment	589,496	(518,698)	70,798
Advance payments to suppliers	400,800	-	400,800
Staff receivables (Note 19)	30,533	-	30,533
As at 30th June	3,990,986	(2,941,985)	1,049,001

The movement on the provision for impairment losses is as follows:

	2017 Shs'000	2016 Shs'000
At 1st July	2,941,985	2,818,097
Write offs	(4,568)	(297,143)
Net increase charged to profit and loss account	201,804	421,031
At 30th June	3,139,221	2,941,985

Receivables from farmers relates to cost of farm inputs supplied to farmers on credit. The cane planted acts as collateral and amounts are recovered on purchase of cane from the farmers. The directors have made provisions for the amounts deemed not recoverable from Mumias Outgrowers Company Organisation (MOCO) due to its inability to meet its obligations as they fall due. The interest receivable from MOCO has been disputed by MOCO (Note 30).



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23. Cash and cash equivalents

	2017 Shs'000	2016 Shs'000
For the purpose of the statement of cash flows, cash and cash equivalents comprise the following:		
Cash at bank and in hand	8,769	117,519
Bank overdraft (Note 14)	(2,709,504)	(2,312,067)
	(2,700,735)	(2,194,548)

24. Trade and other payables

Trade payables	1,446,331	1,227,919
Outgrowers	973,143	947,720
Accruals	3,145,238	1,817,897
Leave pay accrual	21,968	35,399
Statutory deductions	5,312,926	3,715,684
Other payables	274,949	284,713
	11,174,555	8,029,332

25. Deferred grant income

At the beginning of the year	18,420	45,811
Utilised during the year	-	(27,391)
At the end of the year	18,420	18,420

NOTES (CONTINUED)

26. Operating lease arrangements

	2017 Shs'000	2016 Shs'000
The company as lessee:		
Minimum lease payments under operating leases recognised through profit or loss	33,658	17,437
At the end of the reporting period, the company had outstanding commitments under operating leases, payable as follows:		
Within one year	8,061	17,609
In the second to fifth years inclusive	32,240	19,334
	40,301	36,943

Operating lease payments represent rentals payable by the company for certain of its office premises, storage facilities and cane farming. The leases are cancellable with no penalty provided the company gives three months notice to vacate the premises.

The company as a lessor:

Property rental income earned during the year amounted to Shs 15,345,000 (2016: Shs 18,443,000). At the end of the reporting period, the company had contracted with tenants for the following future lease receivables:

	2017 Shs'000	2016 Shs'000
Within one year	15,345	18,443

27. Related party transactions

The company operates a company car loan scheme for managerial and supervisory employees. The cars are registered in joint names of the company and the employees as security for the car loans. The interest income earned on staff loans in the year amounted to Shs 3,567,000 (2015: Shs 11,068,000). The distribution of the loans is as follows:

(a) Staff loans	2017 Shs'000	2016 Shs'000
Due from key management	35,084	53,152
Due from other staff	768	8,526
	35,852	61,678



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27. Related party transactions (continued)

	2017 Shs'000	2016 Shs'000
(b) Key management compensation		
The remuneration for key management during the year was as follows:		
Salaries and other benefits	126,210	149,811
(c) Directors' remuneration		
Fees for services as directors	3,750	4,050
Other emoluments	33,175	29,560
	36,925	33,610

28. Capital commitments

Commitments at the year-end for which no provision has been made in these financial statements:

	2017 Shs'000	2016 Shs'000
Authorised and contracted for	8,320	8,320

The capital commitments relate primarily to purchase of heavy mobile machinery and upgrading of factory facilities.

29. Contingent liabilities

	2017 Shs'000	2016 Shs'000
Pending claims	11,231,271	11,284,534
Guarantees	23,500	23,500

The company had a number of pending claims and litigation cases at end of the year. These include the following:

- Mumias Sugar Company Limited (MSC) and Mumias Outgrowers Company Organisation (MOCO) have a dispute where MOCO has made a claim of Shs 3,723,008,000 in respect of cane development funds and interest overcharge. The dispute was taken to arbitration but the arbitration process has been temporarily suspended to allow without prejudice discussions between the parties. All amounts due from MOCO in respect of accountancy fees, outstanding loans and advances, subsidies to farmers and accrued interest have been fully provided for as indicated in Note 23.

NOTES (CONTINUED)

29. *Contingent liabilities (continued)*

- ii) Mumias Sugar Company Limited (MSC) and the Kenya Sugar Cane Growers Association (KESGA) have a dispute in respect of which KESGA has made a claim of Shs 899,462,000 from MSC for unlawfully and deliberately refusing to pay sugarcane farmers according to the simplified sugarcane pricing formula thereby causing a loss to the farmers.
- iii) Mumias Sugar Company Limited (MSC) and Dubai Bank Kenya Limited (DBKL) have a dispute in which DBKL has instituted winding-up proceedings against MSC over a Shs 91,249,000 debt accruing from a guarantee the Company gave to the bank over imported sugar.
- iv) Mumias Sugar Company Limited (MSC) has disputed an amount of Shs 162,693,000 (US\$ 1,856,666) demanded by Peeraj General Trading Company relating to contract variations on the ethanol distillery project.

The directors, having taken necessary professional consultations, are of the opinion that the above claims are unlikely to lead to any material financial loss to the company. In addition, where there is ongoing arbitration, the likely liability cannot be estimated reliably. No provision has therefore been made in these financial statements.

30. *Going concern - business plan to restore the company's profitability and solvency*

The company's current liabilities exceeded its current assets by Shs 15.2 billion at 30th June 2017 (2016: Shs 8.9 billion). During the year ended 30th June 2017, the company incurred a loss of Shs 6,773,934,000 (2016: Shs 4,756,591,000). Moreover, as stated in Note 14, some of the lenders have issued demand letters requiring immediate payment of all sums outstanding. Although the lenders have not taken further action for recovery of the loans, some have charged the company penalty interest.

The board has carefully developed a turnaround strategy which is under review by the lenders and the anchor shareholder, the Government of Kenya. The board plans to return the company back to profitability through various strategies, key of which are:

- i) Improved financial management - This will be focused on debt restructuring, cost management and internal controls. Restructuring negotiations have been progressed and an indicative term sheet finalised with lenders giving the company the much needed moratorium and easing the repayment pressure. Further steps are underway to finalize and sign off the facility arrangement with each lender. The Company's financial position is thus expected to improve further.
- ii) Support from significant shareholders - the Government of Kenya, as the anchor shareholder, has already injected Shs 3.5 billion as bail out money to help revive the company, with further financial assistance expected. These funds continued to be utilised as per the agreed spending plans mainly focusing on factory rehabilitation, payment of cane farmers arrears and cane development. The directors will initiate discussions with stakeholders to seek further financial support to implement its turnaround strategy.
- iii) Cane availability and supply - This will be driven by farmer loyalty management, prudent cane development and external sourcing. The company has allocated resources to step up its cane development efforts and will collaborate with County Governments and other potential partners to ensure adequate raw material availability. The company's current five year projections show that these efforts will bear fruit in the medium and long term future.
- iv) Factory optimization - This will be hinged upon material supply logistics, plant flexibility and energy efficiency. The company will run the ethanol plant independently in order to fully maximise its potential without exposing it to sugar production volatilities. Sugar recovery will be improved by switching to more fuel efficient sugar plant boilers and synchronizing production runs with flow of sugar cane deliveries. Factory energy balance will be enhanced through more stable sugar production runs, increased steam generation from the cogen plant and utilizing exhaust steam to support the sugar plant.



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30. **Going concern - business plan to restore the company's profitability and solvency (continued)**

- v) Human Resource Management - This is anchored on staff rationalization, culture change and performance management. The company is committed to implementing an optimal staff restructuring programme in order to derive tangible savings on costs and to realise higher productivity from a leaner and more efficient work force. Significant cost reduction has already been achieved through natural attrition.

The Government of Kenya, as the anchor shareholder has committed to the following:

- a) initiating a structured process to enter into discussion with the lenders and statutory creditors with a view to restructuring the liabilities of the company; and
- b) providing the necessary support to ensure that the company remains a going concern for twelve months from the date the financial statements for the year ended 30th June 2017 are approved by the Board.

A formal letter has been received from the National Treasury, Government of Kenya as the anchor shareholder.

If the above strategies are not fully implemented, there would be a material uncertainty as to the company's ability to continue as a going concern and it may, therefore, be unable to realise its assets and discharge its liabilities in the normal course of business.

31. **Prior year adjustment**

The financial statements for the year ended 30th June 2016 have been restated to account for the amendments to IAS 16 and IAS 41 titled Agriculture: Bearer Plants. The financial statements were also amended to also account for errors in the incorporation of the property, plant and equipment revaluation results.

The change has resulted in the revaluation surplus reducing by Shs 247,792,000 and retained earnings increasing Shs 113,973,000.

	Revaluation surplus Shs'000	Retained earnings Shs'000
Amendment to IAS 16 and 41	-	136,400
Amendment to surplus on revaluation of property, plant and equipment	(353,989)	-
Deferred tax	106,197	(22,427)
Prior year adjustment	(247,792)	113,973
As previously reported	7,093,105	(2,459,322)
Prior year restatement	(247,792)	113,973
Restated balance	6,845,313	(2,345,349)

NOTES (CONTINUED)

32. New and revised financial reporting standards

The company has not applied the following new and revised standards and interpretations that have been published but are not yet effective for the year beginning 1st January 2017.

- IFRS 15 Revenue from Contracts with Customers (issued in May 2014) - The new standard, effective for annual periods beginning on or after 1 January 2018, replaces IAS 11, IAS 18 and their interpretations (SIC-31 and IFRIC 13, 15 and 18).
- IFRS 9 Financial Instruments (issued in July 2014) – This standard will replace IAS 39 (and all the previous versions of IFRS 9) effective for annual periods beginning on or after 1 January 2018.
- Amendments to IFRS 10 and IAS 28 titled Sale or Contribution of Assets between an Investor and its Associate or Joint Venture (issued in September 2014) – The amendments, applicable from a date yet to be determined.
- IFRS 16 Leases (issued in January 2016) - The new standard will be effective for annual periods beginning on or after 1 January 2019.
- Amendments to IFRS 2 titled *Classification and Measurement of Share-based Payment Transactions* (issued in June 2016) - The amendments will be applicable to annual periods beginning on or after 1 January 2018.
- Amendments to IFRS 4 titled *Applying IFRS 9 Financial Instruments with IFRS 4 Insurance Contracts* (issued in September 2016) - The amendments will be applicable to annual periods beginning on or after 1 January 2018.
- Amendment to IFRS 1 (Annual Improvements to IFRSs 2014–2016 Cycle, issued in December 2016) - The amendment will be applicable to annual periods beginning on or after 1 January 2018.
- Amendment to IAS 28 (Annual Improvements to IFRSs 2014–2016 Cycle, issued in December 2016) - The amendment will be applicable to annual periods beginning on or after 1 January 2018.
- Amendments to IAS 40 titled *Transfers of Investment Property* (issued in December 2016) – The amendments will be applicable to annual periods beginning on or after 1 January 2018.
- IFRIC 22 titled *Foreign Currency Transactions and Advance Consideration* (issued in December 2016) – The Interpretation will be applicable to annual periods beginning on or after 1 January 2018.
- IFRS 17 *Insurance Contracts* (issued in May 2017) - The new standard will be effective for annual periods beginning on or after 1 January 2021.
- IFRIC 23 *Uncertainty over Income Tax Treatments* (issued in June 2017) - The Interpretation will be applicable to annual periods beginning on or after 1 January 2019.
- Amendments to IAS 28 titled *Long-term Interests in Associates and Joint Ventures* (issued in October 2017)- The amendments, applicable to annual periods beginning on or after 1st January 2019, clarify that an entity applies IFRS 9, rather than IAS 28, in accounting for long-term interests in associates and joint ventures.



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APPENDIX I

DETAILED PROFIT AND LOSS ACCOUNT

	2017 Shs'000	2016 Shs'000
Sales		
Gross sugar sales	1,507,890	6,155,020
Gross molasses sales	135,514	115,045
Gross ethanol sales	1,696,633	2,823,022
Gross water sales	490	22,920
Total gross sales	3,340,527	9,116,007
Value Added Tax	(441,741)	(1,241,116)
Sugar Development Levy	(2,969)	(203,863)
Excise Duty	(804,066)	(1,385,111)
NET SALES	2,091,751	6,285,917

COST OF SALES		
Cane purchases	II (1,402,402)	(3,682,885)
Factory production - sugar	II (945,741)	(1,434,210)
Factory production - energy	II (540,417)	(490,336)
Factory production - ethanol	II (295,110)	(299,396)
Factory production - water	II (24,710)	(95,358)
Factory engineering	III (1,138,962)	(1,074,446)
Production overheads	III (926,263)	(1,120,228)
Change in the value of product inventories	(6,292)	148,453
	(5,279,897)	(8,048,406)

	2017 Shs'000	2016 Shs'000
GROSS (LOSS)	(3,188,146)	(1,762,489)
FAIR VALUE GAIN ON BIOLOGICAL ASSETS	97,137	133,803
OTHER OPERATING INCOME	III 16,756	42,000
MARKETING AND DISTRIBUTION COSTS	III (56,617)	(103,918)
ADMINISTRATIVE EXPENSES	IV (2,329,932)	(2,176,058)
IMPAIRMENT	(2,572,703)	(1,388,856)
FINANCE INCOME	2,480	59,381
FINANCE COSTS	(1,500,153)	(874,382)
LOSS BEFORE TAX	(9,531,178)	(6,070,519)

APPENDIX II

MANUFACTURING ACCOUNT

	2017 Shs'000	2016 Shs'000
CANE PURCHASES		
Registered outgrowers cane	1,230,530	3,384,790
Nucleus estate cane	171,872	298,095
	1,402,402	3,682,885

FACTORY PRODUCTION - SUGAR

Depreciation of factory plant and buildings	195,501	280,700
Staff costs	258,627	310,123
Packaging material	7,937	110,433
Spares	15,046	59,014
Fuels	63,706	61,662
Other costs	369,002	548,238
Factory chemicals	35,922	64,040
	945,741	1,434,210

FACTORY PRODUCTION - ENERGY

Depreciation of factory plant and building	275,685	274,174
Fuels	211,529	89,834
Other costs	26,309	73,157
Factory chemicals	21,867	49,462
Mechanical, electrical & instrument spares	5,027	3,709
	540,417	490,336

	2017 Shs'000	2016 Shs'000
FACTORY PRODUCTION - ETHANOL		
Depreciation of factory plant and building	258,545	266,549
Factory chemicals	23,534	10,526
Staff costs	12,718	18,525
Other costs	313	3,796
	295,110	299,396

FACTORY PRODUCTION - WATER

Depreciation of factory plant and building	24,710	24,710
Packaging materials	-	16,231
Other costs	-	207
Mechanical, electrical & instrument spares	-	1,257
Factory chemicals	-	97
Staff costs	-	52,856
	24,710	95,358



Sweetening the lives of kenyans

APPENDIX III

MANUFACTURING ACCOUNT

Factory Engineering

	2017 Shs'000	2016 Shs'000
Mechanical, electrical & instrument spares	208,089	465,553
Staff costs	260,874	293,889
Plant and equipment repairs	96,309	109,110
Other costs	2,186	4,361
Depreciation	571,504	201,533
	1,138,962	1,074,446

PRODUCTION OVERHEADS

Cane establishment and development other costs	209,181	236,344
Cane establishment and development staff costs	237,770	251,518
Factory administration - staff costs	204,915	196,011
Factory administration - other costs	31,851	14,585
Harvesting and transport staff costs	120,220	116,381
Harvesting and transport other costs	74,171	248,496
Ethanol Plant administration - staff costs	48,155	56,893
	926,263	1,120,228

	2017 Shs'000	2016 Shs'000
Guest house	7,603	21,919
Sundry income	14,595	2,007
Rent receivable	15,345	18,443
Seed cane sales	11,157	13,533
Gain/loss on disposal of bearer plant	(31,944)	(13,902)
	16,756	42,000

MARKETING AND DISTRIBUTION COSTS

Staff costs	41,220	62,670
Advertising and promotion	5,012	13,133
Other costs	2,679	9,665
Corporate Social Responsibility	1,389	5,264
Depreciation	6,317	13,186
	56,617	103,918

APPENDIX IV

SCHEDULE OF OPERATING EXPENDITURE

Administrative Expenses

	2017 Shs'000	2016 Shs'000
Staff costs	450,221	601,211
Other costs	234,810	273,115
Tax penalties	527,825	445,772
Legal and professional fees	482,395	196,142
Medical services	36,374	59,999
Travelling	13,091	25,691
Security	40,626	71,107
Publications and listing	12,764	11,891
Directors' emoluments	28,559	23,560
Amortisation of intangible assets	10,398	4,081
Insurance	78,485	70,869
Bank charges	16,465	13,743
Staff training and recruitment costs	2,334	6,311
Telephone and communications	14,553	16,052
Auditors' remuneration		
Current year	5,000	5,572
Under provision in prior year	203	670
Stationery	2,663	4,475
Depreciation	384,644	190,643
Net foreign exchange loss	-	141,385
Dividend adjustment	(13,769)	13,769
Opening balance write off	2,291	-
	2,329,932	2,176,058